



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2999: municipal improvement districts; technical correction

WENINGER FLOOR AMENDMENT

1. Replace *infrastructure finance* district with *state housing affordability* district.
2. Modifies the definition of *ad valorem* and *municipality*.
3. Requires any land within the district that is located within the adopted planning area of a municipality be subject to a current written annexation or pre-annexation agreement between the municipality and the owners of that land.
4. Makes clarifying changes.
5. Adds that the notice of the filing of the petition to state that the municipality or the county, as applicable, may submit to the Authority within thirty days after the filing of the petition a written notice that identifies a basis for denial of the petition.
6. Changes the criteria for denying a petition by finding that the financial information submitted in the petition illustrates that the district will *not* have, rather than has or will have, the financial ability to discharge its proposed indebtedness.
7. Includes, as a criterion for denying a petition, that the formation of the proposed district will materially violate any existing and applicable development agreement with the municipality or the county that relates to public infrastructure and that is recorded against the land included within the boundaries of the district with respect to the design, construction, conveyance, operation or maintenance of the public infrastructure.
8. Specifies any action of the Authority or the executive director is the exercise of an administrative function involving the determination of fundamental governmental policy as prescribed in statute.
9. Includes requirements relating to notification of board vacancy.
10. Prohibits the board from levying an o/m tax if no boards or obligations remain outstanding.
11. Instructs the District to include, on its website, a description of the public infrastructure the District is authorized to finance, identifying which categories of public infrastructure are required by the applicable municipality

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or county and which categories are not required but have been elected to be financed by the district.

12. Requires a District to be dissolved automatically and without any action from the board or the qualified electors in the year that is five years after completion of all work to be performed under the District's general plan, as long as the authority has verified that no bonds or obligations remain outstanding.
13. Stipulates the District must be dissolved in the year after the bonds or obligations are paid in full if any bonds or obligations remain outstanding.
14. Includes requirements relating to:
 - a. zoning and land use authority; and
 - b. financing, constructing or acquiring public infrastructure.
15. Specifies District requirements and regulations do not authorize the District to pledge the full faith and credit or the taxing power of a municipality or county and any bonds or other obligations of a district are obligations only of the district and are payable only from the sources that are pledged for their payment.

WENINGER FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2999
(Reference to COMMERCE S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
4 to read:

5 9-463.05. Development fees; imposition by cities and towns;
6 infrastructure improvements plan; annual report;
7 advisory committee; limitation on actions;
8 definitions

9 A. A municipality may assess development fees to offset costs to
10 the municipality associated with providing necessary public services to a
11 development, including the costs of infrastructure, improvements, real
12 property, engineering and architectural services, financing and
13 professional services required for the preparation or revision of a
14 development fee pursuant to this section, including the relevant portion
15 of the infrastructure improvements plan.

16 B. Development fees assessed by a municipality under this section
17 are subject to the following requirements:

18 1. Development fees shall result in a beneficial use to the
19 development.

20 2. The municipality shall calculate the development fee based on
21 the infrastructure improvements plan adopted pursuant to this section.

22 3. The development fee shall not exceed a proportionate share of
23 the cost of necessary public services, based on service units, needed to
24 provide necessary public services to the development.

25 4. Costs for necessary public services made necessary by new
26 development shall be based on the same level of service provided to
27 existing development in the service area.

1 5. Development fees may not be used for any of the following:

2 (a) Construction, acquisition or expansion of public facilities or
3 assets other than necessary public services or facility expansions
4 identified in the infrastructure improvements plan.

5 (b) Repair, operation or maintenance of existing or new necessary
6 public services or facility expansions.

7 (c) Upgrading, updating, expanding, correcting or replacing
8 existing necessary public services to serve existing development in order
9 to meet stricter safety, efficiency, environmental or regulatory
10 standards.

11 (d) Upgrading, updating, expanding, correcting or replacing
12 existing necessary public services to provide a higher level of service to
13 existing development.

14 (e) Administrative, maintenance or operating costs of the
15 municipality.

16 6. Any development for which a development fee has been paid is
17 entitled to the use and benefit of the services for which the fee was
18 imposed and is entitled to receive immediate service from any existing
19 facility with available capacity to serve the new service units if the
20 available capacity has not been reserved or pledged in connection with the
21 construction or financing of the facility.

22 7. Development fees may be collected if any of the following
23 occurs:

24 (a) The collection is made to pay for a necessary public service or
25 facility expansion that is identified in the infrastructure improvements
26 plan and the municipality plans to complete construction and to have the
27 service available within the time period established in the infrastructure
28 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
29 provided in subsection H, paragraph 3 of this section.

30 (b) The municipality reserves in the infrastructure improvements
31 plan adopted pursuant to this section or otherwise agrees to reserve
32 capacity to serve future development.

33 (c) The municipality requires or agrees to allow the owner of a
34 development to construct or finance the necessary public service or
35 facility expansion and any of the following ~~apply~~ APPLIES:

36 (i) The costs incurred or money advanced are credited against or
37 reimbursed from the development fees otherwise due from a development.

38 (ii) The municipality reimburses the owner for those costs from the
39 development fees paid from all developments that will use those necessary
40 public services or facility expansions.

41 (iii) For those costs incurred the municipality allows the owner to
42 assign the credits or reimbursement rights from the development fees
43 otherwise due from a development to other developments for the same
44 category of necessary public services in the same service area.

45 8. Projected interest charges and other finance costs may be
46 included in determining the amount of development fees only if the monies
47 are used for the payment of principal and interest on the portion of the
48 bonds, notes or other obligations issued to finance construction of

1 necessary public services or facility expansions identified in the
2 infrastructure improvements plan.

3 9. Monies received from development fees assessed pursuant to this
4 section shall be placed in a separate fund and accounted for separately
5 and may only be used for the purposes authorized by this section. Monies
6 received from a development fee identified in an infrastructure
7 improvements plan adopted or updated pursuant to subsection D of this
8 section shall be used to provide the same category of necessary public
9 services or facility expansions for which the development fee was assessed
10 and for the benefit of the same service area, as defined in the
11 infrastructure improvements plan, in which the development fee was
12 assessed. Interest earned on monies in the separate fund shall be
13 credited to the fund.

14 10. The schedule for payment of fees shall be provided by the
15 municipality. Based on the cost identified in the infrastructure
16 improvements plan, the municipality shall provide a credit toward the
17 payment of a development fee for the required or agreed to dedication of
18 public sites, improvements and other necessary public services or facility
19 expansions included in the infrastructure improvements plan and for which
20 a development fee is assessed, to the extent the public sites,
21 improvements and necessary public services or facility expansions are
22 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
23 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR [AN INFRASTRUCTURE FINANCE] [A
24 STATE HOUSING AFFORDABILITY] DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER
25 40. The developer of residential dwelling units shall be required to pay
26 development fees when construction permits for the dwelling units are
27 issued, or at a later time if specified in a development agreement
28 pursuant to section 9-500.05. If a development agreement provides for
29 fees to be paid at a time later than the issuance of construction permits,
30 the deferred fees shall be paid ~~no~~ NOT later than fifteen days after the
31 issuance of a certificate of occupancy. The development agreement shall
32 provide for the value of any deferred fees to be supported by appropriate
33 security, including a surety bond, letter of credit or cash bond.

34 11. If a municipality requires as a condition of development
35 approval the construction or improvement of, contributions to or
36 dedication of any facilities that were not included in a previously
37 adopted infrastructure improvements plan, the municipality shall cause the
38 infrastructure improvements plan to be amended to include the facilities
39 and shall provide a credit toward the payment of a development fee for the
40 construction, improvement, contribution or dedication of the facilities to
41 the extent that the facilities will substitute for or otherwise reduce the
42 need for other similar facilities in the infrastructure improvements plan
43 for which development fees were assessed.

44 12. The municipality shall forecast the contribution to be made in
45 the future in cash or by taxes, fees, assessments or other sources of
46 revenue derived from the property owner towards the capital costs of the
47 necessary public service covered by the development fee and shall include
48 these contributions in determining the extent of the burden imposed by the
49 development. Beginning August 1, 2014, for purposes of calculating the

1 required offset to development fees pursuant to this subsection, if a
2 municipality imposes a construction contracting or similar excise tax rate
3 in excess of the percentage amount of the transaction privilege tax rate
4 imposed on the majority of other transaction privilege tax
5 classifications, the entire excess portion of the construction contracting
6 or similar excise tax shall be treated as a contribution to the capital
7 costs of necessary public services provided to development for which
8 development fees are assessed, unless the excess portion was already taken
9 into account for such purpose pursuant to this subsection.

10 13. If development fees are assessed by a municipality, the fees
11 shall be assessed against commercial, residential and industrial
12 development, except that the municipality may distinguish between
13 different categories of residential, commercial and industrial development
14 in assessing the costs to the municipality of providing necessary public
15 services to new development and in determining the amount of the
16 development fee applicable to the category of development. If a
17 municipality agrees to waive any of the development fees assessed on a
18 development, the municipality shall reimburse the appropriate development
19 fee accounts for the amount that was waived. The municipality shall
20 provide notice of any such waiver to the advisory committee established
21 pursuant to subsection G of this section within thirty days.

22 14. In determining and assessing a development fee applying to land
23 in a community facilities district established under title 48, chapter 4,
24 article 6 OR ~~[AN INFRASTRUCTURE FINANCE]~~ [A STATE HOUSING AFFORDABILITY]
25 DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40, the municipality shall
26 take into account all public infrastructure provided by the district and
27 capital costs paid by the district for necessary public services and shall
28 not assess a portion of the development fee based on the infrastructure or
29 costs.

30 C. A municipality shall give at least thirty days' advance notice
31 of intention to assess a development fee and shall release to the public
32 and post on its website or the website of an association of cities and
33 towns if a municipality does not have a website a written report of the
34 land use assumptions and infrastructure improvements plan adopted pursuant
35 to subsection D of this section. The municipality shall conduct a public
36 hearing on the proposed development fee at any time after the expiration
37 of the ~~thirty day~~ THIRTY-DAY notice of intention to assess a development
38 fee and at least thirty days before the scheduled date of adoption of the
39 fee by the governing body. Within sixty days after the date of the public
40 hearing on the proposed development fee, a municipality shall approve or
41 disapprove the imposition of the development fee. A municipality shall
42 not adopt an ordinance, order or resolution approving a development fee as
43 an emergency measure. A development fee assessed pursuant to this section
44 shall not be effective until seventy-five days after its formal adoption
45 by the governing body of the municipality. Nothing in this subsection
46 shall affect any development fee adopted before July 24, 1982.

47 D. Before the adoption or amendment of a development fee, the
48 governing body of the municipality shall adopt or update the land use
49 assumptions and infrastructure improvements plan for the designated

1 service area. The municipality shall conduct a public hearing on the land
2 use assumptions and infrastructure improvements plan at least thirty days
3 before the adoption or update of the plan. The municipality shall release
4 the plan to the public, post the plan on its website or the website of an
5 association of cities and towns if the municipality does not have a
6 website, including in the posting its land use assumptions, the time
7 period of the projections, a description of the necessary public services
8 included in the infrastructure improvements plan and a map of the service
9 area to which the land use assumptions apply, make available to the public
10 the documents used to prepare the assumptions and plan and provide public
11 notice at least sixty days before the public hearing, subject to the
12 following:

13 1. The land use assumptions and infrastructure improvements plan
14 shall be approved or disapproved within sixty days after the public
15 hearing on the land use assumptions and infrastructure improvements plan
16 and at least thirty days before the public hearing on the report required
17 by subsection C of this section. A municipality shall not adopt an
18 ordinance, order or resolution approving the land use assumptions or
19 infrastructure improvements plan as an emergency measure.

20 2. An infrastructure improvements plan shall be developed by
21 qualified professionals using generally accepted engineering and planning
22 practices pursuant to subsection E of this section.

23 3. A municipality shall update the land use assumptions and
24 infrastructure improvements plan at least every five years. The initial
25 ~~five-year~~ FIVE-YEAR period begins on the day the infrastructure
26 improvements plan is adopted. The municipality shall review and evaluate
27 its current land use assumptions and shall cause an update of the
28 infrastructure improvements plan to be prepared pursuant to this section.

29 4. Within sixty days after completion of the updated land use
30 assumptions and infrastructure improvements plan, the municipality shall
31 schedule and provide notice of a public hearing to discuss and review the
32 update and shall determine whether to amend the assumptions and plan.

33 5. A municipality shall hold a public hearing to discuss the
34 proposed amendments to the land use assumptions, the infrastructure
35 improvements plan or the development fee. The land use assumptions and
36 the infrastructure improvements plan, including the amount of any proposed
37 changes to the development fee per service unit, shall be made available
38 to the public on or before the date of the first publication of the notice
39 of the hearing on the amendments.

40 6. The notice and hearing procedures prescribed in paragraph 1 of
41 this subsection apply to a hearing on the amendment of land use
42 assumptions, an infrastructure improvements plan or a development fee.
43 Within sixty days after the date of the public hearing on the amendments,
44 a municipality shall approve or disapprove the amendments to the land use
45 assumptions, infrastructure improvements plan or development fee. A
46 municipality shall not adopt an ordinance, order or resolution approving
47 the amended land use assumptions, infrastructure improvements plan or
48 development fee as an emergency measure.

1 7. The advisory committee established under subsection G of this
2 section shall file its written comments on any proposed or updated land
3 use assumptions, infrastructure improvements plan and development fees
4 before the fifth business day before the date of the public hearing on the
5 proposed or updated assumptions, plan and fees.

6 8. If, at the time an update as prescribed in paragraph 3 of this
7 subsection is required, the municipality determines that no changes to the
8 land use assumptions, infrastructure improvements plan or development fees
9 are needed, the municipality may as an alternative to the updating
10 requirements of this subsection publish notice of its determination on its
11 website and include the following:

12 (a) A statement that the municipality has determined that no change
13 to the land use assumptions, infrastructure improvements plan or
14 development fee is necessary.

15 (b) A description and map of the service area in which an update
16 has been determined to be unnecessary.

17 (c) A statement that by a specified date, which shall be at least
18 sixty days after the date of publication of the first notice, a person may
19 make a written request to the municipality requesting that the land use
20 assumptions, infrastructure improvements plan or development fee be
21 updated.

22 (d) A statement identifying the person or entity to whom the
23 written request for an update should be sent.

24 9. If, by the date specified pursuant to paragraph 8 of this
25 subsection, a person requests in writing that the land use assumptions,
26 infrastructure improvements plan or development fee be updated, the
27 municipality shall cause, accept or reject an update of the assumptions
28 and plan to be prepared pursuant to this subsection.

29 10. Notwithstanding the notice and hearing requirements for adoption
30 of an infrastructure improvements plan, a municipality may amend an
31 infrastructure improvements plan adopted pursuant to this section without
32 a public hearing if the amendment addresses only elements of necessary
33 public services in the existing infrastructure improvements plan and the
34 changes to the plan will not, individually or cumulatively with other
35 amendments adopted pursuant to this subsection, increase the level of
36 service in the service area or cause a development fee increase of greater
37 than five ~~per cent~~ PERCENT when a new or modified development fee is
38 assessed pursuant to this section. The municipality shall provide notice
39 of any such amendment at least thirty days before adoption, shall post the
40 amendment on its website or on the website of an association of cities and
41 towns if the municipality does not have a website and shall provide notice
42 to the advisory committee established pursuant to subsection G of this
43 section that the amendment complies with this subsection.

44 E. For each necessary public service that is the subject of a
45 development fee, the infrastructure improvements plan shall include:

46 1. A description of the existing necessary public services in the
47 service area and the costs to upgrade, update, improve, expand, correct or
48 replace those necessary public services to meet existing needs and usage
49 and stricter safety, efficiency, environmental or regulatory standards,

1 which shall be prepared by qualified professionals licensed in this state,
2 as applicable.

3 2. An analysis of the total capacity, the level of current usage
4 and commitments for usage of capacity of the existing necessary public
5 services, which shall be prepared by qualified professionals licensed in
6 this state, as applicable.

7 3. A description of all or the parts of the necessary public
8 services or facility expansions and their costs necessitated by and
9 attributable to development in the service area based on the approved land
10 use assumptions, including a forecast of the costs of infrastructure,
11 improvements, real property, financing, engineering and architectural
12 services, which shall be prepared by qualified professionals licensed in
13 this state, as applicable.

14 4. A table establishing the specific level or quantity of use,
15 consumption, generation or discharge of a service unit for each category
16 of necessary public services or facility expansions and an equivalency or
17 conversion table establishing the ratio of a service unit to various types
18 of land uses, including residential, commercial and industrial.

19 5. The total number of projected service units necessitated by and
20 attributable to new development in the service area based on the approved
21 land use assumptions and calculated pursuant to generally accepted
22 engineering and planning criteria.

23 6. The projected demand for necessary public services or facility
24 expansions required by new service units for a period not to exceed ten
25 years.

26 7. A forecast of revenues generated by new service units other than
27 development fees, which shall include estimated state-shared revenue,
28 highway ~~users~~ **USER** revenue, federal revenue, ad valorem property taxes,
29 construction contracting or similar excise taxes and the capital recovery
30 portion of utility fees attributable to development based on the approved
31 land use assumptions, and a plan to include these contributions in
32 determining the extent of the burden imposed by the development as
33 required in subsection B, paragraph 12 of this section.

34 F. A municipality's development fee ordinance shall provide that a
35 new development fee or an increased portion of a modified development fee
36 shall not be assessed against a development for twenty-four months after
37 the date that the municipality issues the final approval for a commercial,
38 industrial or multifamily development or the date that the first building
39 permit is issued for a residential development pursuant to an approved
40 site plan or subdivision plat, provided that no subsequent changes are
41 made to the approved site plan or subdivision plat that would increase the
42 number of service units. If the number of service units increases, the
43 new or increased portion of a modified development fee shall be limited to
44 the amount attributable to the additional service units. The twenty-four
45 month period shall not be extended by a renewal or amendment of the site
46 plan or the final subdivision plat that was the subject of the final
47 approval. The municipality shall issue, on request, a written statement
48 of the development fee schedule applicable to the development. If, after
49 the date of the municipality's final approval of a development, the

1 municipality reduces the development fee assessed on development, the
2 reduced fee shall apply to the development.

3 G. A municipality shall do one of the following:

4 1. Before the adoption of proposed or updated land use assumptions,
5 infrastructure improvements plan and development fees as prescribed in
6 subsection D of this section, the municipality shall appoint an
7 infrastructure improvements advisory committee, subject to the following
8 requirements:

9 (a) The advisory committee shall be composed of at least five
10 members who are appointed by the governing body of the municipality. At
11 least fifty ~~per cent~~ PERCENT of the members of the advisory committee must
12 be representatives of the real estate, development or building industries,
13 of which at least one member of the committee must be from the home
14 building industry. Members shall not be employees or officials of the
15 municipality.

16 (b) The advisory committee shall serve in an advisory capacity and
17 shall:

18 (i) Advise the municipality in adopting land use assumptions and in
19 determining whether the assumptions are in conformance with the general
20 plan of the municipality.

21 (ii) Review the infrastructure improvements plan and file written
22 comments.

23 (iii) Monitor and evaluate implementation of the infrastructure
24 improvements plan.

25 (iv) Every year file reports with respect to the progress of the
26 infrastructure improvements plan and the collection and expenditures of
27 development fees and report to the municipality any perceived inequities
28 in implementing the plan or imposing the development fee.

29 (v) Advise the municipality of the need to update or revise the
30 land use assumptions, infrastructure improvements plan and development
31 fee.

32 (c) The municipality shall make available to the advisory committee
33 any professional reports with respect to developing and implementing the
34 infrastructure improvements plan.

35 (d) The municipality shall adopt procedural rules for the advisory
36 committee to follow in carrying out the committee's duties.

37 2. In lieu of creating an advisory committee pursuant to paragraph
38 1 of this subsection, provide for a biennial certified audit of the
39 municipality's land use assumptions, infrastructure improvements plan and
40 development fees. An audit pursuant to this paragraph shall be conducted
41 by one or more qualified professionals who are not employees or officials
42 of the municipality and who did not prepare the infrastructure
43 improvements plan. The audit shall review the progress of the
44 infrastructure improvements plan, including the collection and
45 expenditures of development fees for each project in the plan, and
46 evaluate any inequities in implementing the plan or imposing the
47 development fee. The municipality shall post the findings of the audit on
48 the municipality's website or the website of an association of cities and
49 towns if the municipality does not have a website and shall conduct a

1 public hearing on the audit within sixty days of the release of the audit
2 to the public.

3 H. On written request, an owner of real property for which a
4 development fee has been paid after July 31, 2014 is entitled to a refund
5 of a development fee or any part of a development fee if:

6 1. Pursuant to subsection B, paragraph 6 of this section, existing
7 facilities are available and service is not provided.

8 2. The municipality has, after collecting the fee to construct a
9 facility when service is not available, failed to complete construction
10 within the time period identified in the infrastructure improvements plan,
11 but in no event later than the time period specified in paragraph 3 of
12 this subsection.

13 3. For a development fee other than a development fee for water or
14 wastewater facilities, any part of the development fee is not spent as
15 authorized by this section within ten years after the fee has been paid
16 or, for a development fee for water or wastewater facilities, any part of
17 the development fee is not spent as authorized by this section within
18 fifteen years after the fee has been paid.

19 I. If the development fee was collected for the construction of all
20 or a portion of a specific item of infrastructure, and on completion of
21 the infrastructure the municipality determines that the actual cost of
22 construction was less than the forecasted cost of construction on which
23 the development fee was based and the difference between the actual and
24 estimated cost is greater than ten per cent, the current owner may receive
25 a refund of the portion of the development fee equal to the difference
26 between the development fee paid and the development fee that would have
27 been due if the development fee had been calculated at the actual
28 construction cost.

29 J. A refund shall include any interest earned by the municipality
30 from the date of collection to the date of refund on the amount of the
31 refunded fee. All refunds shall be made to the record owner of the
32 property at the time the refund is paid. If the development fee is paid
33 by a governmental entity, the refund shall be paid to the governmental
34 entity.

35 K. A development fee that was adopted before January 1, 2012 may
36 continue to be assessed only to the extent that it will be used to provide
37 a necessary public service for which development fees can be assessed
38 pursuant to this section and shall be replaced by a development fee
39 imposed under this section on or before August 1, 2014. Any municipality
40 having a development fee that has not been replaced under this section on
41 or before August 1, 2014 shall not collect development fees until the
42 development fee has been replaced with a fee that complies with this
43 section. Any development fee monies collected before January 1, 2012
44 remaining in a development fee account:

45 1. Shall be used towards the same category of necessary public
46 services as authorized by this section.

47 2. If development fees were collected for a purpose not authorized
48 by this section, shall be used for the purpose for which they were
49 collected on or before January 1, 2020, and after which, if not spent,

1 shall be distributed equally among the categories of necessary public services authorized by this section.

L. A moratorium shall not be placed on development for the sole purpose of awaiting completion of all or any part of the process necessary to develop, adopt or update development fees.

M. In any judicial action interpreting this section, all powers conferred on municipal governments in this section shall be narrowly construed to ensure that development fees are not used to impose on new residents a burden all taxpayers of a municipality should bear equally.

N. Each municipality that assesses development fees shall submit an annual report accounting for the collection and use of the fees for each service area. The annual report shall include the following:

1. The amount assessed by the municipality for each type of development fee.

2. The balance of each fund maintained for each type of development fee assessed as of the beginning and end of the fiscal year.

3. The amount of interest or other earnings on the monies in each fund as of the end of the fiscal year.

4. The amount of development fee monies used to repay:

(a) Bonds issued by the municipality to pay the cost of a capital improvement project that is the subject of a development fee assessment, including the amount needed to repay the debt service obligations on each facility for which development fees have been identified as the source of funding and the time frames in which the debt service will be repaid.

(b) Monies advanced by the municipality from funds other than the funds established for development fees in order to pay the cost of a capital improvement project that is the subject of a development fee assessment, the total amount advanced by the municipality for each facility, the source of the monies advanced and the terms under which the monies will be repaid to the municipality.

5. The amount of development fee monies spent on each capital improvement project that is the subject of a development fee assessment and the physical location of each capital improvement project.

6. The amount of development fee monies spent for each purpose other than a capital improvement project that is the subject of a development fee assessment.

O. Within ninety days following the end of each fiscal year, each municipality shall submit a copy of the annual report to the city clerk and post the report on the municipality's website or the website of an association of cities and towns if the municipality does not have a website. Copies shall be made available to the public on request. The annual report may contain financial information that has not been audited.

P. A municipality that fails to file the report and post the report on the municipality's website or the website of an association of cities and towns if the municipality does not have a website as required by this section shall not collect development fees until the report is filed and posted.

Q. Any action to collect a development fee shall be commenced within two years after the obligation to pay the fee accrues.

1 R. A municipality may continue to assess a development fee adopted
2 before January 1, 2012 for any facility that was financed before June 1,
3 2011 if:

4 1. Development fees were pledged to repay debt service obligations
5 related to the construction of the facility.

6 2. After August 1, 2014, any development fees collected under this
7 subsection are used solely for the payment of principal and interest on
8 the portion of the bonds, notes or other debt service obligations issued
9 before June 1, 2011 to finance construction of the facility.

10 S. Through August 1, 2014, a development fee adopted before January
11 1, 2012 may be used to finance construction of a facility and may be
12 pledged to repay debt service obligations if:

13 1. The facility that is being financed is a facility that is
14 described under subsection T, paragraph 7, subdivisions (a) through (g) of
15 this section.

16 2. The facility was included in an infrastructure improvements plan
17 adopted before June 1, 2011.

18 3. The development fees are used for the payment of principal and
19 interest on the portion of the bonds, notes or other debt service
20 obligations issued to finance construction of the necessary public
21 services or facility expansions identified in the infrastructure
22 ~~improvement~~ IMPROVEMENTS plan.

23 T. For the purposes of this section:

24 1. "Dedication" means the actual conveyance date or the date an
25 improvement, facility or real or personal property is placed into service,
26 whichever occurs first.

27 2. "Development" means:

28 (a) The subdivision of land.

29 (b) The construction, reconstruction, conversion, structural
30 alteration, relocation or enlargement of any structure that adds or
31 increases the number of service units.

32 (c) Any use or extension of the use of land that increases the
33 number of service units.

34 3. "Facility expansion" means the expansion of the capacity of an
35 existing facility that serves the same function as an otherwise new
36 necessary public service in order that the existing facility may serve new
37 development. Facility expansion does not include the repair, maintenance,
38 modernization or expansion of an existing facility to better serve
39 existing development.

40 4. "Final approval" means:

41 (a) For a nonresidential or multifamily development, the approval
42 of a site plan or, if no site plan is submitted for the development, the
43 approval of a final subdivision plat.

44 (b) For a single family residential development, the approval of a
45 final subdivision plat.

46 5. "Infrastructure improvements plan" means a written plan that
47 identifies each necessary public service or facility expansion that is
48 proposed to be the subject of a development fee and otherwise complies

1 with the requirements of this section, and may be the municipality's
2 capital improvements plan.

3 6. "Land use assumptions" means projections of changes in land
4 uses, densities, intensities and population for a specified service area
5 over a period of at least ten years and pursuant to the general plan of
6 the municipality.

7 7. "Necessary public service" means any of the following facilities
8 that have a life expectancy of three or more years and that are owned and
9 operated by or on behalf of the municipality:

10 (a) Water facilities, including the supply, transportation,
11 treatment, purification and distribution of water, and any appurtenances
12 for those facilities.

13 (b) Wastewater facilities, including collection, interception,
14 transportation, treatment and disposal of wastewater, and any
15 appurtenances for those facilities.

16 (c) Storm water, drainage and flood control facilities, including
17 any appurtenances for those facilities.

18 (d) Library facilities of up to ten thousand square feet that
19 provide a direct benefit to development, not including equipment, vehicles
20 or appurtenances.

21 (e) Street facilities located in the service area, including
22 arterial or collector streets or roads that have been designated on an
23 officially adopted plan of the municipality, traffic signals and
24 rights-of-way and improvements thereon.

25 (f) Fire and police facilities, including all appurtenances,
26 equipment and vehicles. Fire and police facilities do not include a
27 facility or portion of a facility that is used to replace services that
28 were once provided elsewhere in the municipality, vehicles and equipment
29 used to provide administrative services, helicopters or airplanes or a
30 facility that is used for training firefighters or officers from more than
31 one station or substation.

32 (g) Neighborhood parks and recreational facilities on real property
33 up to thirty acres in area, or parks and recreational facilities larger
34 than thirty acres if the facilities provide a direct benefit to the
35 development. Park and recreational facilities do not include vehicles,
36 equipment or that portion of any facility that is used for amusement
37 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
38 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
39 clubhouses, community centers greater than three thousand square feet in
40 floor area, environmental education centers, equestrian facilities, golf
41 course facilities, greenhouses, lakes, museums, theme parks, water
42 reclamation or riparian areas, wetlands, zoo facilities or similar
43 recreational facilities, but may include swimming pools.

44 (h) Any facility that was financed and that meets all of the
45 requirements prescribed in subsection R of this section.

46 8. "Qualified professional" means a professional engineer,
47 surveyor, financial analyst or planner providing services within the scope
48 of the person's license, education or experience.

1 9. "Service area" means any specified area within the boundaries of
2 a municipality in which development will be served by necessary public
3 services or facility expansions and within which a substantial nexus
4 exists between the necessary public services or facility expansions and
5 the development being served as prescribed in the infrastructure
6 improvements plan.

7 10. "Service unit" means a standardized measure of consumption, use,
8 generation or discharge attributable to an individual unit of development
9 calculated pursuant to generally accepted engineering or planning
10 standards for a particular category of necessary public services or
11 facility expansions.

12 Sec. 2. Section 11-495, Arizona Revised Statutes, is amended to
13 read:

14 11-495. Taxpayers' information fund

15 A. A taxpayers' information fund is established in each county
16 treasury consisting of monies collected from the public records copy
17 surcharge imposed pursuant to section 11-496, the tax lien processing fee
18 imposed pursuant to section 42-18116, subsection C, fifteen dollars of
19 each judgment deed fee collected pursuant to section 42-18205, subsection
20 A, interest earned from the elderly assistance fund pursuant to section
21 42-17401, the community facilities district special assessment fee imposed
22 pursuant to section 48-721, THE STATE HOUSING AFFORDABILITY DISTRICT
23 SPECIAL ASSESSMENT FEE IMPOSED PURSUANT TO SECTION 48-7023 and the fees
24 authorized for collecting municipal fire and emergency services fees in
25 certain areas of the county as prescribed in section 9-500.23.

26 B. The county treasurer shall administer the fund and spend monies
27 in the fund only to defray the cost of converting or upgrading an
28 automated public information system as follows:

- 29 1. Purchasing computer hardware and software.
30 2. Training employees to operate the system.
31 3. Maintaining the system, including purchasing equipment
32 maintenance agreements.

- 33 4. Updating the system hardware and software.

34 5. In counties with a population of more than two million persons,
35 notifying property owners of the tax and ownership status of a taxpayer's
36 parcel prior to the taxpayer's parcel being sold at a deed sale and the
37 tax and ownership status of any parcels being sold at a deed sale that are
38 adjacent to a taxpayer's parcel, prior to the deed sale.

39 C. The county treasurer shall annually submit to the board of
40 supervisors the amount of anticipated revenues under this section. If the
41 projected revenues are considered to be insufficient to establish and
42 maintain the fund at an adequate level, the monies may accumulate until
43 sufficient monies are available in the fund.

44 Sec. 3. Section 11-496, Arizona Revised Statutes, is amended to
45 read:

46 11-496. Public records copy; proceeds of sale; agent duties;
47 surcharge; special district assessments; deposit

48 A. In addition to the fee prescribed by section 39-121.01,
49 subsection D, paragraph 1 or section 39-121.03, subsection A, the county

1 treasurer may impose a surcharge of not more than twenty-five ~~per cent~~
2 PERCENT of the fee charged for furnishing a copy, printout or photograph.

3 B. A county treasurer who is designated as a registrar pursuant to
4 section 35-491 may impose a surcharge of not more than twenty-five ~~per~~
5 ~~cent~~ PERCENT of the average fee charged by commercial bank trust
6 departments during the previous calendar year for discharging registrar,
7 transfer and paying agent duties.

8 C. The county treasurer may impose and collect a fee for expenses
9 directly related to the collection of special assessments for a community
10 facilities district pursuant to section 48-721, A STATE HOUSING
11 AFFORDABILITY DISTRICT PURSUANT TO SECTION 48-7023 and a revitalization
12 district pursuant to section 48-6815 and for collecting municipal fire and
13 emergency services fees from owners of record in certain areas of the
14 county as prescribed in section 9-500.23.

15 D. The county treasurer shall deposit monies collected pursuant to
16 this section in the taxpayers' information fund established by section
17 11-495.

18 Sec. 4. Section 11-1102, Arizona Revised Statutes, is amended to
19 read:

20 11-1102. County development fees; imposition by counties;
21 infrastructure improvements plan; advisory
22 committee; annual report; limitation on actions;
23 definitions

24 A. A county may assess development fees to offset costs to the
25 county associated with providing necessary public services to a
26 development, including the costs of infrastructure, improvements, real
27 property, engineering and architectural services, financing and
28 professional services required for the preparation or revision of
29 ~~a~~ development ~~fee~~ FEES pursuant to this section, including the relevant
30 portion of the infrastructure improvements plan.

31 B. Development fees assessed under this section are subject to the
32 following requirements:

33 1. Development fees shall result in a beneficial use to the
34 development.

35 2. The county shall calculate the development ~~fee~~ FEES based on the
36 infrastructure improvements plan adopted pursuant to this section.

37 3. The development fees may not exceed a proportionate share of the
38 cost of necessary public services, based on service units, needed to
39 provide necessary public services to the development.

40 4. Costs for necessary public services made necessary by new
41 development shall be based on the same level of service provided to
42 existing development in the service area at the time the infrastructure
43 improvements plan is adopted.

44 5. Development fees may not be used for any of the following:

45 (a) Funding a level of service that is higher than the current
46 level of service provided to existing development at the time the
47 infrastructure improvements plan is adopted.

1 (b) Construction, acquisition or expansion of public facilities or
2 assets other than necessary public services or facility expansions
3 identified in the infrastructure improvements plan.

4 (c) Repair, operation or maintenance of existing or new necessary
5 public services or facility expansions.

6 (d) Upgrading, updating, expanding, correcting or replacing
7 existing necessary public services to serve existing development in order
8 to meet stricter safety, efficiency, environmental or regulatory
9 standards.

10 (e) Upgrading, updating, expanding, correcting or replacing
11 existing necessary public services to provide a higher level of service to
12 existing development.

13 (f) Administrative, maintenance or operating costs of the county.

14 6. Any development for which development fees have been paid is
15 entitled to the use and benefit of the services for which the development
16 fees were imposed and is entitled to receive immediate service from any
17 existing facility with available capacity to serve the new service units
18 if the available capacity has not been reserved or pledged in connection
19 with the construction or financing of the facility.

20 7. Development fees may be collected if any of the following
21 occurs:

22 (a) The collection is made to pay for a necessary public service or
23 facility expansion that is identified in the infrastructure improvements
24 plan and the county plans to complete construction and have the service
25 available within the time period established in the infrastructure
26 improvements plan, but not longer than the time period provided in
27 subsection J, paragraph 3 of this section.

28 (b) The county reserves capacity in the infrastructure improvements
29 plan adopted pursuant to this section or otherwise agrees to reserve
30 capacity to serve future development.

31 (c) The county requires or agrees to allow the owner of a
32 development to construct or finance the necessary public service or
33 facility expansion and any of the following applies:

34 (i) The costs incurred or monies advanced are credited against or
35 reimbursed from the development fees otherwise due from a development.
36 The amount of credits issued shall equal the costs identified by the
37 county in the infrastructure improvements plan associated with the
38 construction of the necessary public services or facility expansions. The
39 county shall allow the owner to assign the credits from the development
40 fees otherwise due from a development and any excess credits to other
41 developments for the same category of necessary public services in the
42 same service area.

43 (ii) The county reimburses the owner for those costs from the
44 development fees paid from all developments that will use those necessary
45 public services or facility expansions. The county shall allow the owner
46 to assign the reimbursement rights to other developments for the same
47 category of necessary public services in the same service area.

48 8. Projected interest charges and other finance costs may be
49 included in determining the amount of development fees only if the monies

1 are used for the payment of principal and interest on the portion of the
2 bonds, notes or other obligations issued to finance construction of
3 necessary public services or facility expansions identified in the
4 infrastructure improvements plan.

5 9. Monies received from development fees shall be placed in a
6 separate fund and accounted for separately and may only be used for the
7 purposes authorized by this section. Monies received from development
8 fees identified in an infrastructure improvements plan adopted or updated
9 pursuant to subsection E of this section shall be used to provide the same
10 category of necessary public services or facilities expansions for which
11 the development fee was assessed and for the benefit of the same service
12 area as defined in the infrastructure improvements plan in which the
13 development fees were assessed. Interest earned on monies in the separate
14 fund shall be credited to the fund.

15 10. The county shall prescribe the schedule for paying the
16 development fees. Based on the costs identified in the infrastructure
17 improvements plan, the county shall provide a credit toward the payment of
18 the development fees for the required or agreed to dedication of public
19 sites, improvements and other necessary public services or facility
20 expansions included in the infrastructure improvements plan and for which
21 development fees are assessed, to the extent the public sites,
22 improvements and necessary public services or facility expansions are
23 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
24 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR [AN INFRASTRUCTURE FINANCE] [A
25 STATE HOUSING AFFORDABILITY] DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER
26 40. On request of the developer, instead of providing a credit toward the
27 payment of development fees, the county shall provide for reimbursement
28 from the development fees paid from all development that will use those
29 public sites, improvements or necessary public services or facility
30 expansions of the actual costs of the required or agreed to dedication of
31 public sites, improvements or other necessary public services or facility
32 expansions included in the infrastructure improvements plan and for which
33 development fees are assessed, to the extent the public sites,
34 improvements and necessary public services or facility expansions are
35 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
36 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR [AN INFRASTRUCTURE FINANCE] [A
37 STATE HOUSING AFFORDABILITY] DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER
38 40. The developer of residential dwelling units shall be required to pay
39 the fees when construction permits for the dwelling units are issued, or
40 at a later time if specified in the development agreement pursuant to
41 section 11-1101. If a development agreement provides for development fees
42 to be paid at a time later than the issuance of construction permits, the
43 deferred development fees shall be paid not later than fifteen days after
44 the issuance of a certificate of occupancy. The development agreement
45 shall provide for the value of any deferred development fees to be
46 supported by an appropriate security, including a surety bond, letter of
47 credit or cash bond.

48 11. If a county requires as a condition of development approval the
49 construction or improvement of, contributions to or dedication of any

1 facilities that were not included in a previously adopted infrastructure
2 improvements plan, the county shall cause the infrastructure improvements
3 plan to be amended to include the facilities and shall provide a credit
4 toward the payment of development fees for the construction, improvement,
5 contribution or dedication of the facilities to the extent that the
6 facilities will substitute for or otherwise reduce the need for other
7 similar facilities in the infrastructure improvements plan for which
8 development fees were assessed. If a county requires as a condition of
9 development approval the set aside of active or passive open space, the
10 county shall issue a credit toward any development fees identified in the
11 infrastructure improvements plan to fund any park facilities or facility
12 expansion. On request of the individual or entity seeking development
13 approval, instead of issuing a credit toward the payment of development
14 fees, the county shall provide for reimbursement from the development fees
15 paid from all development that will use those facilities or facility
16 expansions of the actual costs of the construction or improvement of,
17 contributions to or dedication of the public facilities required as a
18 condition of development approval.

19 12. The county shall forecast the contribution to be made in the
20 future in cash, taxes, fees, assessments and all other sources of revenue
21 derived from the property owner towards the capital costs of the necessary
22 public service covered by the development fees.

23 13. If development fees are assessed against residential
24 development, the county shall also assess development fees against
25 commercial and industrial development. The county may distinguish between
26 different categories of residential, commercial and industrial development
27 in assessing the costs to the county of providing necessary public
28 services to new development and in determining the amount of the
29 development fees applicable to the category, except that the county may
30 not distinguish residential developments on the basis of the size of the
31 dwelling unit or number of bedrooms. If a county agrees to waive any of
32 the development fees assessed on a development, the county shall reimburse
33 the appropriate development fees accounts for the amount that was
34 waived. The county shall provide notice of any such waiver to the
35 advisory committee established pursuant to subsection I of this section.

36 14. In determining and assessing development fees applying to land
37 in a community facilities district established under title 48, chapter 4,
38 article 6, the county shall take into account all public infrastructure
39 provided by the district and capital costs paid by the district for
40 necessary public services and shall not assess a portion of the
41 development fees based on the infrastructure or costs.

42 15. The county shall not assess or collect development fees from a
43 school district or charter school, other than fees assessed or collected
44 for streets and water and wastewater utility functions.

45 C. Before assessing development fees, the county shall:

46 1. Give at least thirty days' advance notice of intention to assess
47 new or increased development fees.

1 2. Release to the public and post on the county's website a written
2 report of the land use assumptions and infrastructure improvements plan
3 adopted pursuant to subsection E of this section.

4 3. Conduct a public hearing on the proposed development fees at any
5 time after the expiration of the thirty-day notice of intention to assess
6 development fees and at least thirty days before the scheduled date of
7 adoption of the development fees. Within sixty days after the date of the
8 public hearing on the proposed development fees, the county shall approve
9 or disapprove the imposition of the development fees. A county may not
10 adopt an ordinance, order or resolution approving development fees as an
11 emergency measure.

12 D. Development fees assessed pursuant to this section are not
13 effective for at least ninety days after formal adoption by the board of
14 supervisors.

15 E. Before the adoption or amendment of development fees or
16 amendment of the boundaries of a service area, the board of supervisors
17 shall adopt or update the land use assumptions and infrastructure
18 improvements plan for the designated service area. The county shall
19 conduct a public hearing on the land use assumptions and infrastructure
20 improvements plan at least thirty days before the adoption or update of
21 the infrastructure improvements plan. The county shall release the
22 infrastructure improvements plan to the public, post the infrastructure
23 improvements plan on the county's website, including in the posting the
24 land use assumptions, the time period of the projections, a description of
25 the necessary public services included in the infrastructure improvements
26 plan and a map of the service area to which the land use assumptions
27 apply, make available to the public the documents used to prepare the land
28 use assumptions and infrastructure improvements plan and provide public
29 notice at least sixty days before the public hearing, subject to the
30 following:

31 1. The land use assumptions and infrastructure improvements plan
32 shall be approved or disapproved within sixty days after the public
33 hearing on the land use assumptions and infrastructure improvements plan
34 and at least thirty days before the public hearing on the report required
35 by subsection C of this section. A county may not adopt an ordinance,
36 order or resolution approving the land use assumptions or infrastructure
37 improvements plan as an emergency measure.

38 2. An infrastructure improvements plan shall be developed by
39 qualified professionals using generally accepted engineering and planning
40 practices pursuant to subsection F of this section.

41 3. A county shall update the land use assumptions and
42 infrastructure improvements plan at least every five years. The initial
43 five-year period begins on the day the infrastructure improvements plan is
44 adopted. The county shall review and evaluate the current land use
45 assumptions and shall cause an update of the infrastructure improvements
46 plan to be prepared pursuant to this section.

47 4. Within sixty days after completion of the updated land use
48 assumptions and infrastructure improvements plan, the county shall
49 schedule and provide notice of a public hearing to discuss and review the

1 update and shall determine whether to amend the land use assumptions and
2 infrastructure improvements plan.

3 5. A county shall hold a public hearing to discuss the proposed
4 amendments to the land use assumptions, the infrastructure improvements
5 plan or the development fees. The land use assumptions and the
6 infrastructure improvements plan, including the amount of any proposed
7 changes to the development fees per service unit, shall be made available
8 to the public on or before the date of the first publication of the notice
9 of the hearing on the amendments.

10 6. The hearing procedures prescribed in paragraph 1 of this
11 subsection apply to a hearing on the amendment of land use assumptions, an
12 infrastructure improvements plan or development fees. Within sixty days
13 after the date of the public hearing on the amendments, a county shall
14 approve or disapprove the amendments to the land use assumptions,
15 infrastructure improvements plan or development fees. A county may not
16 adopt an ordinance, order or resolution approving the amended land use
17 assumptions, infrastructure improvements plan or development fees as an
18 emergency measure.

19 7. The advisory committee established under subsection I of this
20 section shall file its written comments on any proposed or updated land
21 use assumptions, infrastructure improvements plan and development fees
22 before the fifth business day before the date of the public hearing on the
23 proposed or updated land use assumptions, infrastructure improvements plan
24 and development fees.

25 8. If, at the time an update as prescribed in paragraph 3 of this
26 subsection is required, the county determines that no changes to the land
27 use assumptions, infrastructure improvements plan or development fees are
28 needed, the county, as an alternative to the updating requirements of this
29 subsection, may publish notice of the determination on the county's
30 website that includes the following:

31 (a) A statement that the county has determined that no change to
32 the land use assumptions, infrastructure improvements plan or development
33 fees is necessary.

34 (b) A description and map of the service area in which an update
35 has been determined to be unnecessary.

36 (c) A statement that by a specified date, which shall be at least
37 sixty days after the date of publication of the first notice, a person may
38 request to the county in writing that the county update the land use
39 assumptions, infrastructure improvements plan or development fees.

40 (d) A statement identifying the person or entity to whom the
41 written request for an update should be sent.

42 9. If, by the date specified pursuant to paragraph 8 of this
43 subsection, a person requests in writing that the county update the land
44 use assumptions, infrastructure improvements plan or development fees, the
45 county shall cause, accept or reject an update of the land use
46 assumptions, infrastructure improvements plan or development fees to be
47 prepared pursuant to this section.

48 10. Notwithstanding the notice and hearing requirements for
49 adoption of an infrastructure improvements plan, the county may amend an

1 infrastructure improvements plan without a public hearing if the amendment
2 addresses only elements of necessary public services in the existing
3 infrastructure improvements plan and the changes to the plan will not,
4 individually or cumulatively with other amendments adopted pursuant to
5 this subsection, increase the level of service in the service area or
6 cause an increase in development fees that is greater than five percent
7 when new or modified development fees are assessed pursuant to this
8 section. The county shall provide notice of the amendment at least thirty
9 days before adoption, shall post the amendment on the county's website and
10 shall provide notice to the advisory committee established pursuant to
11 subsection I of this section that the amendment complies with this
12 subsection.

13 F. For each necessary public service that is the subject of
14 development fees, the infrastructure improvements plan shall include:

15 1. A description of the existing necessary public services in the
16 service area and the costs to upgrade, update, improve, expand, correct or
17 replace those necessary public services to meet existing needs and usage
18 and stricter safety, efficiency, environmental or regulatory standards.
19 The description shall be prepared by qualified professionals who are
20 licensed in this state, as applicable.

21 2. An analysis of the total capacity, the level of current usage
22 and commitments for usage of capacity of the existing necessary public
23 services. The analysis shall be prepared by qualified professionals who
24 are licensed in this state, as applicable.

25 3. A description of all or the parts of the necessary public
26 services or facility expansions and their costs necessitated by and
27 attributable to new development in the service area based on the approved
28 land use assumptions, including a forecast of the cost of infrastructure,
29 improvements, real property, financing, engineering and architectural
30 services. The description shall be prepared by qualified professionals
31 who are licensed in this state, as applicable.

32 4. A table that establishes the specific level or quantity of use,
33 consumption, generation or discharge of a service unit for each category
34 of necessary public services or facility expansions and an equivalency or
35 conversion table that establishes the ratio of a service unit to various
36 types of land uses, including residential, commercial and industrial.

37 5. A description of all the costs necessitated by ongoing
38 maintenance and operations of the necessary public services once
39 construction is completed and a description of the source of revenue to be
40 used to fund the maintenance and operations.

41 6. The total number of projected service units necessitated by and
42 attributable to new development in the service area based on the approved
43 land use assumptions and calculated pursuant to generally accepted
44 engineering and planning criteria.

45 7. The projected demand for necessary public services or facility
46 expansions required by new service units for a period of not more than ten
47 years.

48 8. A forecast of revenues generated by new service units other than
49 development fees, including estimated state shared revenue, highway user

1 revenue, federal revenue, ad valorem property taxes, construction
2 contracting or similar excise taxes and the capital recovery portion of
3 utility fees attributable to development based on the approved land use
4 assumptions, and a plan to include these contributions in determining the
5 extent of the burden imposed by the development as required in subsection
6 B, paragraph 12 of this section.

7 G. A county's infrastructure improvements plan may identify
8 necessary public services or facility expansions that the county plans to
9 construct beyond the time period provided for in subsection J, paragraph 3
10 of this section but may not include the costs of those necessary public
11 services or facility expansions in the calculation of development fees.

12 H. A county's development fees ordinance shall provide:

13 1. That new development fees or an increased portion of modified
14 development fees may not be assessed against a development for twenty-four
15 months after the date that the county issues the final approval for a
16 commercial, industrial or multifamily development or the date that the
17 first building permit is issued for a residential development pursuant to
18 an approved site plan or subdivision plat, only if subsequent changes are
19 not made to the approved site plan or subdivision plat that would increase
20 the number of service units. If the number of service units increases,
21 the new or increased portion of modified development fees shall be limited
22 to the amount attributable to the additional service units. The period is
23 not extended by a renewal or amendment of the site plan or the final
24 subdivision plat that was the subject of the final approval. The county
25 shall issue, on request, a written statement of the development fees
26 schedule applicable to the development. If, after the date of the
27 county's final approval of a development, the county reduces the
28 development fees assessed on development, the reduced fees shall apply to
29 the development.

30 2. A process for a development to request an alternative
31 development fee calculation or change in category of development that
32 appears on an adopted development fee schedule based on a projection that
33 the actual burdens and costs associated with the county's provision of
34 necessary public services or facility expansions to the development that
35 are to be paid by development fees will differ substantially from those
36 costs projected by the county or will be substantially less than the
37 amount projected to be paid by development fees. The county manager or
38 the county manager's designee shall review the request and make a
39 determination as to the development fee to be assessed. The assessed
40 development fee shall have a substantial nexus to the actual burdens and
41 costs associated with providing the necessary public services or facility
42 expansions to that development that are to be funded by development fees.
43 The determination of the county manager is appealable to the board of
44 supervisors.

45 I. A county shall do one of the following:

46 1. Before the adoption of the proposed or updated land use
47 assumptions, infrastructure improvements plan and development fees as
48 prescribed in subsection E of this section, appoint an infrastructure
49 improvements advisory committee, subject to the following requirements:

1 (a) The advisory committee shall be composed of at least five
2 members who are appointed by the board of supervisors. At least fifty
3 percent of the members of the advisory committee must be representatives
4 of the real estate, development or building industries, of which at least
5 one member of the committee must be from the home building industry.
6 Members may not be employees or officials of the county.

7 (b) The advisory committee shall serve in an advisory capacity and
8 shall:

9 (i) Advise the county in adopting land use assumptions and in
10 determining whether the assumptions are in conformance with the general
11 plan of the county.

12 (ii) Review the infrastructure improvements plan and file written
13 comments.

14 (iii) Monitor and evaluate implementation of the infrastructure
15 improvements plan.

16 (iv) Every year file reports with respect to the progress of the
17 infrastructure improvements plan and the collection and expenditures of
18 development fees and report to the county any perceived inequities in
19 implementing the infrastructure improvements plan or assessing the
20 development fees.

21 (v) Advise the county of the need to update or revise the land use
22 assumptions, infrastructure improvements plan and development fees.

23 (c) The county shall make available to the advisory committee any
24 professional reports with respect to developing and implementing the
25 infrastructure improvements plan.

26 (d) The county shall adopt procedural rules for the advisory
27 committee to follow in carrying out the advisory committee's duties.

28 2. Provide for a biennial certified audit of the county's land use
29 assumptions, infrastructure improvements plan and development fees. An
30 audit pursuant to this paragraph shall be conducted by one or more
31 qualified professionals who are not employees or officials of the county
32 and who did not prepare the infrastructure improvements plan. The audit
33 shall review the progress of the infrastructure improvements plan,
34 including the collection and expenditures of development fees for each
35 project in the infrastructure improvements plan, and evaluate any
36 inequities in implementing the infrastructure improvements plan or
37 imposing the development fees. The county shall post the findings of the
38 audit on the county's website and shall conduct a public hearing on the
39 audit within sixty days after the release of the audit to the public.

40 J. On written request, an owner of real property for which
41 development fees have been paid after December 31, 2020 is entitled to a
42 refund of the development fees or any part of the development fees if:

43 1. Pursuant to subsection B, paragraph 6 of this section, existing
44 facilities are available and service is not provided.

45 2. The county, after collecting the fees to construct a facility
46 when service is not available, has failed to complete construction within
47 the time period identified in the infrastructure improvements plan, but in
48 no event later than the time period specified in paragraph 3 of this
49 subsection.

1 3. For development fees other than development fees for water or
2 wastewater facilities, any part of the development fees is not spent as
3 authorized by this section within ten years after the fees have been paid
4 or, for development fees for water or wastewater facilities, any part of
5 the development fees is not spent as authorized by this section within
6 fifteen years after the development fees have been paid.

7 K. If the development fees were collected for the construction of
8 all or a portion of a specific item of infrastructure, and on completion
9 of the infrastructure the county determines that the actual cost of
10 construction was less than the forecasted cost of construction on which
11 the development fees were based and the difference between the actual and
12 estimated cost is greater than ten percent, the current owner may receive
13 a refund of the portion of the development fees equal to the difference
14 between the development fees paid and the development fees that would have
15 been due if the development fees had been calculated at the actual
16 construction cost.

17 L. A refund shall include any interest earned by the county from
18 the date of collection to the date of refund on the amount of the refunded
19 fees. All refunds shall be paid to the owner of record of the property at
20 the time the refund is paid. If the development fees are paid by a
21 governmental entity, the refund shall be paid to the governmental entity.

22 M. Development fees that were adopted before January 1, 2017 may
23 continue to be assessed only to the extent that the development fees will
24 be used to provide a necessary public service for which development fees
25 can be assessed pursuant to this section and shall be replaced by
26 development fees imposed under this section on or before January 1, 2021.
27 Any county having development fees that have not been replaced under this
28 section on or before January 1, 2021 may not collect development fees
29 until the development fees have been replaced with fees that comply with
30 this section. Development fees adopted or amended by a county after
31 January 1, 2017 shall comply with this section. Any development fees
32 monies collected before January 1, 2017 remaining in a development fees
33 account:

34 1. Shall be used ~~towards~~ TOWARD the same category of necessary
35 public services as authorized by this section.

36 2. ~~And~~ THAT WERE collected for a purpose not authorized by this
37 section shall be used for the purpose for which the development fees were
38 collected on or before January 1, 2024, and after which, if not spent,
39 shall be distributed equally among the categories of necessary public
40 services authorized by this section.

41 N. A moratorium may not be placed on development for the sole
42 purpose of awaiting completion of all or any part of the process necessary
43 to develop, adopt or update development fees.

44 O. In any judicial action interpreting this section all powers
45 conferred on a county by this section shall be narrowly construed to
46 ensure that development fees are not used to impose on new residents a
47 burden all taxpayers of a county should bear equally.

1 P. Each county that assesses development fees shall submit an
2 annual report accounting for the collection and use of the fees for each
3 service area. The annual report shall include the following:

4 1. The amount assessed by the county for each type of development
5 fee.

6 2. The balance of each fund maintained for each type of development
7 fee assessed as of the beginning and end of the fiscal year.

8 3. The amount of interest or other earnings on the monies in each
9 fund as of the end of the fiscal year.

10 4. The amount of development fee monies used to repay:

11 (a) Bonds issued by the county to pay the cost of a necessary
12 public service that is the subject of a development fees assessment,
13 including the amount needed to repay the debt service obligations on each
14 facility for which development fees have been identified as the source of
15 funding and the time frames in which the debt service will be repaid.

16 (b) Monies advanced by the county from funds other than the funds
17 established for development fees in order to pay the cost of a necessary
18 public service that is the subject of a development fees assessment, the
19 total amount advanced by the county for each facility, the source of the
20 monies advanced and the terms under which the monies will be repaid to the
21 county.

22 5. The amount of development fees monies spent on each necessary
23 public service or facility expansion that is the subject of a development
24 fees assessment and the physical location of each capital improvement
25 project.

26 6. The amount of development fees monies spent for each purpose
27 other than a necessary public service or facility expansion that is the
28 subject of a development fees assessment.

29 Q. Within ninety days following the end of each fiscal year, each
30 county shall submit a copy of the annual report to the clerk of the board
31 of supervisors and post the annual report on the county's website. Copies
32 shall be made available to the public on request. The annual report may
33 contain financial information that has not been audited.

34 R. A county that fails to file the report and post the annual
35 report on the county's website as required by this section shall not
36 collect development fees until the report is filed and posted.

37 S. Any action to collect development fees shall be commenced within
38 two years after the obligation to pay the development fees accrues.

39 T. A county may continue to assess development fees adopted before
40 January 1, 2017 for any facility that was financed before June 1, 2016 if:

41 1. Development fees were pledged to repay debt service obligations
42 related to the construction of the facility.

43 2. After January 1, 2018, any development fees collected under this
44 subsection are used solely for the payment of principal and interest on
45 the portion of the bonds, notes or other debt service obligations issued
46 before June 1, 2016 to finance construction of the facility.

47 U. Through January 1, 2018, development fees adopted before January
48 1, 2017 may be used to finance construction of a facility and may be
49 pledged to repay debt service obligations if:

1 1. The facility that is being financed is a facility that is
2 described under subsection V, paragraph 7, subdivision (a), (b), (c), (d)
3 or (e) of this section.

4 2. The facility was included in an infrastructure improvements plan
5 adopted before June 1, 2016.

6 3. The development fees are used for the payment of principal and
7 interest on the portion of the bonds, notes or other debt service
8 obligations issued to finance construction of the necessary public
9 services or facility expansions identified in the infrastructure
10 improvements plan.

11 V. For the purposes of this section:

12 1. "Dedication" means the actual conveyance date or the date an
13 improvement, facility or real or personal property is placed into service,
14 whichever occurs first.

15 2. "Development" means:

16 (a) The subdivision of land.

17 (b) The construction, reconstruction, conversion, structural
18 alteration, relocation or enlargement of any structure that adds or
19 increases the number of service units.

20 (c) Any use or extension of the use of land that increases the
21 number of service units.

22 3. "Facility expansion" means the expansion of the capacity of an
23 existing facility that serves the same function as an otherwise new
24 necessary public service in order that the existing facility may serve new
25 development. Facility expansion does not include the repair, maintenance,
26 modernization or expansion of an existing facility to better serve
27 existing development.

28 4. "Final approval" means, for nonresidential or multifamily
29 development, the approval of a site plan or, if no site plan is submitted
30 for the development, the approval of a final subdivision plat.

31 5. "Infrastructure improvements plan" means a written plan that
32 identifies each necessary public service or facility expansion that is
33 proposed to be the subject of development fees and otherwise complies with
34 the requirements of this section and may be the county's capital
35 improvements plan.

36 6. "Land use assumptions" means projections of changes in land
37 uses, densities, intensities and population for a specified service area
38 over a period of at least ten years and pursuant to the general plan of
39 the county.

40 7. "Necessary public service" means any of the following facilities
41 that have a life expectancy of three or more years and that are owned and
42 operated by or on behalf of the county:

43 (a) Water facilities, including the supply, transportation,
44 treatment, purification and distribution of water, and any appurtenances
45 for those facilities.

46 (b) Wastewater facilities, including collection, interception,
47 transportation, treatment and disposal of wastewater, and any
48 appurtenances for those facilities.

1 (c) Street facilities located in the service area, including
2 arterial or collector streets or roads that have been designated on an
3 officially adopted plan of the county, traffic signals and rights-of-way
4 and improvements thereon. Improvements to rights-of-way do not include
5 streetcars, railways or other forms of transportation and their
6 corresponding tracks.

7 (d) Public safety facilities, including all appurtenances,
8 equipment and vehicles. Public safety facilities do not include a
9 facility or portion of a facility that is used to replace services that
10 were once provided elsewhere in the county, vehicles and equipment used to
11 provide administrative services, helicopters or airplanes, paramilitary
12 vehicles, court and judicial facilities, facilities that are used for
13 training firefighters or officers from more than one station or substation
14 or jail, correctional or detention facilities.

15 (e) Neighborhood parks and recreational facilities on real property
16 up to thirty acres in area, or parks and recreational facilities larger
17 than thirty acres if the facilities provide a direct benefit to the
18 development. Parks and recreational facilities do not include vehicles,
19 equipment of that portion of any facility that is used for amusement
20 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
21 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
22 clubhouses, community centers greater than three thousand square feet in
23 floor area, environmental education centers, equestrian facilities,
24 trails, golf course facilities, greenhouses, lakes, museums, theme parks,
25 water reclamation or riparian areas, wetlands, zoo facilities or similar
26 recreational facilities, but may include swimming pools and equipment or
27 improvements constituting accessory or incidental amenities to a park or
28 recreational facility allowed under this section.

29 (f) Any facility that was financed and that meets all of the
30 requirements prescribed in subsection T of this section.

31 8. "Qualified professional" means a professional engineer,
32 surveyor, financial analyst or planner providing services within the scope
33 of the person's license, education or experience.

34 9. "Service area" means any specified area within the boundaries of
35 a county in which development will be served by necessary public services
36 or facility expansions and within which a substantial nexus exists between
37 the necessary public services or facility expansions and the development
38 being served as prescribed in the infrastructure improvements plan.

39 10. "Service unit" means a standardized measure of consumption,
40 use, generation or discharge attributable to an individual unit of
41 development calculated using data specific to the service area in which
42 the facility will be located and pursuant to generally accepted
43 engineering or planning standards for a particular category of necessary
44 public services or facility expansions.

45 Sec. 5. Title 48, Arizona Revised Statutes, is amended by adding
46 chapter 40, to read:

47 CHAPTER 40
48 STATE HOUSING AFFORDABILITY DISTRICTS
49 ARTICLE 1. GENERAL PROVISIONS

1 48-7001. Definitions

2 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

3 1. "AD VALOREM TAX" MEANS THE ~~[LIMITED]~~ [SECONDARY] PROPERTY TAXES
4 LEVIED BY A DISTRICT AGAINST THE NET ASSESSED LIMITED PROPERTY VALUATION
5 OF REAL AND PERSONAL PROPERTY IN THE DISTRICT.

6 2. "ASSESSMENT" MEANS A CHARGE FOR THE COSTS OF ANY PUBLIC
7 INFRASTRUCTURE PURPOSE LEVIED BY THE DISTRICT AGAINST SPECIFIC REAL
8 PROPERTY WITHIN THE DISTRICT FOR THE COSTS OF ANY PUBLIC INFRASTRUCTURE
9 PURPOSE BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE RECEIVED BY THE
10 SPECIFIC REAL PROPERTY AGAINST WHICH THE ASSESSMENT IS LEVIED.

11 3. "AUTHORITY" MEANS THE ARIZONA FINANCE AUTHORITY ESTABLISHED BY
12 SECTION 41-5352.

13 4. "BOARD" MEANS THE BOARD OF DIRECTORS OF A DISTRICT CREATED
14 PURSUANT TO THIS CHAPTER.

15 5. "BONDS":

16 (a) MEANS ANY BOND PRESCRIBED BY THIS CHAPTER AND ISSUED BY A
17 DISTRICT.

18 (b) INCLUDES GENERAL OBLIGATION BONDS, ASSESSMENT BONDS, REVENUE
19 BONDS AND REFUNDING BONDS.

20 6. "CLERK" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
21 DISTRICT CLERK.

22 7. "COUNTY" MEANS THE COUNTY IN WHICH A DISTRICT IS FORMED PURSUANT
23 TO THIS CHAPTER.

24 8. "DEBT SERVICE" MEANS THE PRINCIPAL OF, INTEREST ON AND PREMIUM,
25 IF ANY, ON THE BONDS, WHEN DUE, WHETHER AT MATURITY OR PRIOR REDEMPTION
26 AND FEES AND COSTS OF REGISTRARS, TRUSTEES, PAYING AGENTS OR OTHER AGENTS
27 NECESSARY TO HANDLE THE BONDS AND THE COSTS OF CREDIT ENHANCEMENT OR
28 LIQUIDITY SUPPORT.

29 9. "DISTRICT" MEANS A STATE HOUSING AFFORDABILITY DISTRICT FORMED
30 PURSUANT TO THIS CHAPTER.

31 10. "EXECUTIVE DIRECTOR" MEANS THE EXECUTIVE DIRECTOR OF THE
32 AUTHORITY OR THE EXECUTIVE DIRECTOR'S DESIGNEE.

33 11. "FINANCING PLAN" MEANS THE DISTRICT'S CAPITAL PLAN CONTAINING
34 FINANCIAL PROJECTIONS, ENGINEERING STUDIES, COST ALLOCATION, SEQUENCING
35 AND MARKET-VALUE ANALYSES.

36 12. "FORMATION ORDER" MEANS THE WRITTEN ORDER ISSUED BY THE
37 AUTHORITY EVIDENCING ITS FINAL APPROVAL OF THE FORMATION OF A DISTRICT
38 PURSUANT TO THIS CHAPTER.

39 13. "GENERAL PLAN" MEANS THE GENERAL PLAN DESCRIBED IN SECTION
40 48-7002, SUBSECTION B, AS THE PLAN MAY BE AMENDED.

41 14. "MARKET VALUE" HAS THE SAME MEANING AS PRESCRIBED IN SECTION
42 28-7091, AS INDICATED BY AN APPRAISAL OF THE REAL PROPERTY BY AN APPRAISER
43 WHO IS LICENSED OR CERTIFIED PURSUANT TO TITLE 32, CHAPTER 36.

44 15. "MAXIMUM AUTHORIZED TAX RATE" MEANS THE MAXIMUM TAX RATE FOR AD
45 VALOREM TAXES PLEDGED TO SECURE GENERAL OBLIGATION BONDS APPROVED AT AN
46 ELECTION AUTHORIZING THE LEVY OF AD VALOREM TAXES AND THE ISSUANCE OF
47 GENERAL OBLIGATION BONDS AND INDICATED IN THE PETITION, PROVIDED THAT THE
48 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED

1 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE
2 DISTRICT.

3 16. "MUNICIPALITY" MEANS A CITY OR TOWN [IN WHICH A DISTRICT IS
4 FORMED PURSUANT TO THIS CHAPTER].

5 17. "NET PREMIUM" MEANS THE DIFFERENCE BETWEEN THE PAR AMOUNT OF THE
6 GENERAL OBLIGATION BOND ISSUE AND THE GENERAL OBLIGATION BOND ISSUE PRICE
7 THAT IS DETERMINED PURSUANT TO UNITED STATES DEPARTMENT OF THE TREASURY
8 REGULATIONS.

9 18. "O/M TAX" MEANS A SECONDARY PROPERTY TAX LEVIED TO PAY THE
10 EXPENSES OF OPERATING, MAINTAINING AND ADMINISTERING THE DISTRICT AND THE
11 PUBLIC INFRASTRUCTURE FINANCED BY THE DISTRICT, INCLUDING LEGAL EXPENSES
12 AND EXPENSES ASSOCIATED WITH INSURANCE COVERAGE, AS APPROVED BY THE
13 DISTRICT IN ITS BUDGET.

14 19. "OWNER" MEANS THE PERSON OR ENTITY THAT, ON THE DAY THE ACTION,
15 ELECTION OR PROCEEDING IS BEGUN OR HELD, APPEARS TO BE THE FEE-TITLE OWNER
16 OF REAL PROPERTY AS SHOWN ON THE PROPERTY TAX ASSESSMENT ROLL.

17 20. "PETITION" MEANS A PETITION SUBMITTED TO THE AUTHORITY TO
18 INITIATE FORMATION OF A DISTRICT PURSUANT TO THIS CHAPTER.

19 21. "PETITIONER" MEANS THE PERSON OR ENTITY THAT INITIATES THE
20 FORMATION OF A DISTRICT BY SUBMITTING A PETITION TO THE AUTHORITY PURSUANT
21 TO THIS CHAPTER AND INCLUDES ANY SUCCESSOR OR ASSIGNEE OF THAT PERSON OR
22 ENTITY THAT THE AUTHORITY RECOGNIZES AS THE PETITIONER FOR THE PURPOSES OF
23 THE PETITION AND FORMATION ORDER.

24 22. "PUBLIC INFRASTRUCTURE" MEANS ALL IMPROVEMENTS LISTED IN THIS
25 PARAGRAPH THAT WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO LAND WITHIN
26 THE GEOGRAPHICAL LIMITS OF THE DISTRICT AND MAY INCLUDE A DISTRICT'S SHARE
27 OF ANY IMPROVEMENTS LISTED IN THIS PARAGRAPH IF THE DISTRICT BOARD
28 DETERMINES SUCH SHARE IS PROPORTIONATE TO THE BENEFICIAL USE OF SUCH
29 IMPROVEMENTS TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
30 IMPROVEMENTS WITHIN OR OUTSIDE THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
31 NECESSARY OR INCIDENTAL WORK, INCLUDING LAND CLEARANCE AND ENVIRONMENTAL
32 REMEDIATION ACTIVITIES, WHETHER NEWLY CONSTRUCTED, RENOVATED OR EXISTING,
33 AND ALL NECESSARY OR DESIRABLE APPURTENANCES. FOR THE PURPOSES OF THIS
34 PARAGRAPH, ADOPTION BY THE DISTRICT BOARD OF A RESOLUTION OF INTENT
35 PURSUANT TO SECTION 48-7008 SHALL CONCLUSIVELY ESTABLISH THAT THE
36 IMPROVEMENTS OR, IF APPLICABLE, SHARE OF THE IMPROVEMENTS THAT ARE THE
37 SUBJECT OF THE RESOLUTION WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO
38 LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT. PUBLIC INFRASTRUCTURE
39 IMPROVEMENTS ARE:

40 (a) WATER, WASTEWATER, SEWER, STORMWATER AND FLOOD CONTROL
41 FACILITIES AND APPURTENANCES USED FOR THE DEVELOPMENT, TREATMENT, STORAGE,
42 CONVEYANCE, CONTROL, REUSE, DISTRIBUTION, CONNECTION AND LAWFUL
43 DISPOSITION OF POTABLE AND NONPOTABLE WATER, WASTEWATER, STORMWATER AND
44 FLOODWATERS FOR RESIDENTIAL, COMMERCIAL, GOVERNMENTAL, IRRIGATION AND
45 FIRE-SUPPRESSION USES, EXCLUDING INFRASTRUCTURE DEDICATED PRIMARILY TO
46 AGRICULTURAL IRRIGATION FACILITIES IMPACTED BY OTHER IMPROVEMENTS
47 AUTHORIZED BY THIS CHAPTER AND ENERGY AND UTILITY FACILITIES AND
48 APPURTENANCES USED FOR THE GENERATION, INTERCONNECTION, TRANSMISSION,
49 DISTRIBUTION, STORAGE AND CONTROL OF ELECTRIC POWER AND OTHER ENERGY

1 RESOURCES AND NATURAL GAS AND ALTERNATIVE FUEL PIPELINE AND DISTRIBUTION
2 FACILITIES, ALL TO THE EXTENT LOCATED WITHIN OR NECESSARY TO SERVE THE
3 DISTRICT.

4 (b) TRANSPORTATION AND MOBILITY FACILITIES, IMPROVEMENTS AND
5 APPURTENANCES USED TO PROVIDE VEHICULAR AND NON-VEHICULAR CIRCULATION,
6 ACCESS, EGRESS AND PARKING, INCLUDING STREETS, ROADS, HIGHWAYS, BRIDGES,
7 ALLEYS, PARKING FACILITIES, SIDEWALKS, TRAILS, PATHWAYS, BICYCLE
8 FACILITIES, EQUESTRIAN ROUTES AND OTHER AREAS AND IMPROVEMENTS INTENDED
9 FOR MOTORIZED AND NONMOTORIZED TRAVEL AND PARKING, AND, IF LOCATED WITHIN
10 OR NECESSARY TO SERVE THE DISTRICT, RAILWAY CORRIDORS, RAIL CROSSINGS,
11 GRADE SEPARATIONS, SIDINGS, SIGNALIZATION AND RELATED RAIL TRANSPORTATION
12 FACILITIES AND TRAFFIC MANAGEMENT AND CONTROL FACILITIES AND DEVICES,
13 INCLUDING SIGNALS, INTELLIGENT TRANSPORTATION SYSTEMS, CONTROLS, PAVEMENT
14 MARKINGS, WAYFINDING, SIGNAGE AND LIGHTING AND ILLUMINATIONS SYSTEMS,
15 INCLUDING STREET LIGHTING, PATHWAY LIGHTING, AREA LIGHTING AND RELATED
16 ELECTRICAL AND CONTROL FACILITIES.

17 (c) PUBLIC REALM AND OPEN SPACE AMENITIES, INCLUDING PEDESTRIAN
18 MALLS, PARKS, PLAZAS, RECREATIONAL FACILITIES OTHER THAN STADIUMS, AND
19 OTHER AREAS AND IMPROVEMENTS INTENDED FOR PUBLIC ENTERTAINMENT, ASSEMBLY,
20 AND RECREATION, TOGETHER WITH LANDSCAPING, GRADING, EARTHWORKS,
21 STRUCTURES, LAKES AND WATER FEATURES, PLANTINGS, TREES, IRRIGATION AND
22 WATER DELIVERY SYSTEMS AND RELATED SITE IMPROVEMENTS.

23 (d) PUBLIC BUILDINGS AND PUBLIC SAFETY FACILITIES, INCLUDING
24 POLICE, FIRE AND EMERGENCY SERVICES FACILITIES AND RELATED IMPROVEMENTS.

25 (e) COMMUNICATIONS AND DIGITAL INFRASTRUCTURE, INCLUDING
26 FIBEROPTIC, WIRELESS AND BROADBAND FACILITIES, CONDUITS, TOWERS, ANTENNAS,
27 DATA TRANSMISSION SYSTEMS, NETWORK EQUIPMENT, PUBLIC SAFETY COMMUNICATIONS
28 FACILITIES, AND RELATED APPURTENANCES AND RIGHTS-OF-WAY.

29 (f) EQUIPMENT, VEHICLES, FURNISHINGS, TECHNOLOGY AND OTHER PERSONAL
30 PROPERTY AND APPURTENANCES RELATED TO OR NECESSARY FOR THE OPERATION OF
31 ANY PUBLIC INFRASTRUCTURE AUTHORIZED BY THIS CHAPTER.

32 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

33 23. "PUBLIC INFRASTRUCTURE PURPOSE" MEANS:

34 (a) PLANNING, DESIGNING, ENGINEERING, CONSTRUCTING, ACQUIRING OR
35 INSTALLING OF PUBLIC INFRASTRUCTURE.

36 (b) ACQUIRING, CONVERTING, RENOVATING OR IMPROVING EXISTING
37 FACILITIES FOR PUBLIC INFRASTRUCTURE.

38 (c) ACQUIRING INTERESTS IN REAL PROPERTY FOR PUBLIC INFRASTRUCTURE.

39 (d) ESTABLISHING, MAINTAINING AND REPLENISHING RESERVES IN ORDER TO
40 SECURE PAYMENT OF DEBT SERVICE ON BONDS.

41 (e) FUNDING AND PAYING FROM BOND PROCEEDS INTEREST ACCRUING ON
42 BONDS FOR A PERIOD OF NOT TO EXCEED THREE YEARS AFTER THEIR DATE OF
43 ISSUANCE AND COSTS OF ISSUANCE OF THE BONDS AND UNDERWRITER AND PLACEMENT
44 AGENT FEES.

45 (f) PROVIDING FOR THE TIMELY PAYMENT OF DEBT SERVICE ON
46 INDEBTEDNESS OF THE DISTRICT OR OF DEVELOPMENT FEES OR SIMILAR EXACTIONS
47 IMPOSED BY A MUNICIPALITY OR OTHER PUBLIC ENTITY, TO THE EXTENT THOSE
48 CHARGES ARE IMPOSED TO FUND PUBLIC INFRASTRUCTURE THAT IS LOCATED WITHIN,
49 PRIMARILY SERVES OR IS NECESSITATED BY DEVELOPMENT WITHIN THE DISTRICT.

1 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

2 (h) INCURRING EXPENSES OF THE DISTRICT THAT ARE INCIDENTAL TO AND
3 REASONABLY NECESSARY TO CARRY OUT THE PURPOSES SPECIFIED IN THIS
4 PARAGRAPH.

5 24. "QUALIFIED ELECTOR" MEANS A PERSON WHO IS A QUALIFIED ELECTOR
6 PURSUANT TO TITLE 16 AND WHO RESIDES WITHIN THE BOUNDARIES OF A DISTRICT.

7 25. "TREASURER" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
8 DISTRICT TREASURER.

9 48-7002. Petition to form district; contents of petition;
10 filings; fees; limitation of liability

11 A. A STATE HOUSING AFFORDABILITY DISTRICT MAY BE FORMED PURSUANT TO
12 THIS CHAPTER BY PETITION OF ALL INDIVIDUALS AND ENTITIES HAVING FEE-TITLE
13 OWNERSHIP OF ALL REAL PROPERTY IN THE PROPOSED DISTRICT. THE PETITION
14 SHALL BE SUBMITTED TO THE AUTHORITY. THE DISTRICT MAY INCLUDE CONTIGUOUS
15 OR NONCONTIGUOUS PROPERTY, PROVIDED THAT ALL NONCONTIGUOUS PROPERTY SHALL
16 BE LOCATED IN THE SAME COUNTY AND SHALL LIE WITHIN FIVE MILES OF THE
17 BOUNDARY OF OTHER PROPERTY WITHIN THE DISTRICT, MEASURED IN A STRAIGHT
18 LINE BETWEEN SUCH PARCEL BOUNDARIES. IF ANY PORTION OF A DISTRICT IS
19 LOCATED WITHIN THE CORPORATE LIMITS OF A MUNICIPALITY, THE ENTIRE DISTRICT
20 SHALL AT ALL TIMES BE LOCATED WITHIN THE CORPORATE LIMITS OR WITHIN THE
21 ADOPTED PLANNING AREA OF THAT MUNICIPALITY, AS SUCH LIMITS OR PLANNING
22 AREA MAY BE AMENDED FROM TIME TO TIME. [ANY LAND WITHIN THE DISTRICT THAT
23 IS LOCATED WITHIN THE ADOPTED PLANNING AREA OF A MUNICIPALITY SHALL BE
24 SUBJECT TO A CURRENT WRITTEN ANNEXATION OR PRE-ANNEXATION AGREEMENT
25 BETWEEN THE MUNICIPALITY AND THE OWNERS OF THAT LAND.]

26 B. THE PETITION SHALL CONTAIN ALL OF THE FOLLOWING:

27 1. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT
28 BOUNDARIES.

29 2. THE PROPOSED NAME OF THE DISTRICT.

30 3. A GENERAL PLAN SETTING OUT A GENERAL DESCRIPTION OF THE PUBLIC
31 INFRASTRUCTURE FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR
32 WHICH BONDS MAY BE ISSUED, THE GENERAL AREAS TO BE IMPROVED AND THE
33 ESTIMATED COSTS OF CONSTRUCTING OR ACQUIRING THE PUBLIC INFRASTRUCTURE TO
34 BE FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT.

35 4. A GENERAL DESCRIPTION OF THE ESTIMATED COST OF ENGINEERING
36 SERVICES, LEGAL SERVICES, ADMINISTRATIVE SERVICES AND OTHER MAJOR EXPENSES
37 THAT ARE RELATED TO ORGANIZING AND INITIALLY OPERATING THE DISTRICT.

38 5. AN ENGINEER'S ESTIMATE OF THE COSTS OF THE PUBLIC INFRASTRUCTURE
39 FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR WHICH BONDS MAY BE
40 ISSUED.

41 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AGGREGATE PRINCIPAL
42 AMOUNT OF GENERAL OBLIGATION BONDS AND THE MAXIMUM AGGREGATE ASSESSMENT
43 AMOUNT, IF ANY.

44 7. THE MAXIMUM O/M TAX RATE, IF ANY.

45 8. A PRELIMINARY FINANCING PLAN THAT INCLUDES THE ANTICIPATED
46 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

47 9. IF THE DISTRICT PROPOSES TO ISSUE ASSESSMENT BONDS, AN APPRAISAL
48 INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN THE
49 DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND

1 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
2 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

3 10. IF THE DISTRICT PROPOSES TO ISSUE GENERAL OBLIGATION BONDS, A
4 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY
5 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
6 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING TOGETHER WITH INFORMATION
7 DEMONSTRATING THAT DEBT SERVICE ON SUCH BONDS CAN BE SUPPORTED WITHIN THE
8 MAXIMUM AUTHORIZED TAX RATE.

9 11. A STATEMENT OF ALL HOLDERS OF FEE TITLE TO ALL REAL PROPERTY IN
10 THE DISTRICT, THE INITIAL BOARD MEMBERS, THE INITIAL TERMS OF OFFICE OF
11 THE INITIAL BOARD MEMBERS AND THE DISTRICT CLERK AND THE DISTRICT
12 TREASURER.

13 12. A STATEMENT OF BOND COUNSEL INDICATING THAT THE PETITION
14 COMPLIES WITH THE PROCEDURAL REQUIREMENTS OF THIS SECTION.

15 13. A COPY OF ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR
16 OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO
17 [PUBLIC INFRASTRUCTURE AND THAT IS RECORDED AGAINST] THE LAND INCLUDED
18 WITHIN THE BOUNDARIES OF THE DISTRICT AND A CERTIFICATION [BY THE
19 PETITIONER] THAT THE FORMATION OF THE DISTRICT WILL NOT VIOLATE ANY SUCH
20 AGREEMENT.

21 14. A WRITTEN STATEMENT, SIGNED BY AN ENGINEER, CERTIFYING THAT THE
22 ESTIMATED COST OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED IN THE
23 PROPOSED DISTRICT EXCEEDS \$5,000,000.

24 15. A FORMATION ORDER IN SUBSTANTIALLY FINAL AND RECORDABLE FORM.

25 16. A DESCRIPTION OF THE PETITIONER, INCLUDING:

26 (a) THE LEGAL NAME OF EACH ENTITY OR INDIVIDUAL HAVING FEE-TITLE
27 OWNERSHIP OF ANY REAL PROPERTY IN THE PROPOSED DISTRICT.

28 (b) THE NAME, ADDRESS AND TELEPHONE NUMBER OF THE PRIMARY CONTACT
29 FOR THE PETITIONER.

30 (c) THE NAMES OF ANY LEGAL REPRESENTATIVES, ENGINEERS, ARCHITECTS,
31 FINANCIAL CONSULTANTS OR OTHER CONSULTANTS THAT ARE SIGNIFICANTLY INVOLVED
32 IN THE PETITION.

33 (d) A GENERAL DESCRIPTION OF THE PETITIONER'S EXPERIENCE WITH
34 SIMILAR TYPES OF DEVELOPMENTS THAT THE DISTRICT WILL SUPPORT.

35 C. ANY FINANCIAL BURDEN OF A DISTRICT IS BORNE SOLELY BY THE
36 DISTRICT AND IS NOT BORNE BY THE AUTHORITY, THIS STATE OR ANY
37 MUNICIPALITY, COUNTY OR OTHER POLITICAL SUBDIVISION OF THIS STATE. ANY
38 LIABILITY, JUDGMENT OR CLAIM AGAINST A DISTRICT IS THE SOLE RESPONSIBILITY
39 OF THE DISTRICT AND DOES NOT CONSTITUTE A LIABILITY, JUDGMENT OR CLAIM
40 AGAINST THE AUTHORITY, THIS STATE OR ANY MUNICIPALITY, COUNTY OR OTHER
41 POLITICAL SUBDIVISION OF THIS STATE.

42 D. THE PETITION SHALL BE FILED WITH THE AUTHORITY. THE PETITIONER
43 SHALL PROVIDE WRITTEN NOTICE OF THE FILING OF THE PETITION TO EACH
44 AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED
45 AREA, TO THE COUNTY. THE NOTICE SHALL STATE THAT THE DISTRICT WILL BE
46 FORMED NOT LESS THAN THIRTY DAYS AND NOT MORE THAN SIXTY DAYS AFTER
47 SUBMITTING THE PETITION, SUBJECT TO APPROVAL BY THE AUTHORITY [. AND THAT
48 THE MUNICIPALITY OR THE COUNTY, AS APPLICABLE, MAY SUBMIT TO THE AUTHORITY
49 WITHIN THIRTY DAYS AFTER THE FILING OF THE PETITION A WRITTEN NOTICE THAT

1 IDENTIFIES A BASIS FOR DENIAL OF THE PETITION PURSUANT TO SECTION 48-7003,
2 SUBSECTION D, PARAGRAPH 4].

3 E. IF THE AUTHORITY DETERMINES THAT THE PETITION IS INCOMPLETE OR
4 DEFICIENT, THE PETITIONER SHALL HAVE A PERIOD OF SIXTY DAYS AFTER WRITTEN
5 NOTICE OF THE DEFICIENCIES TO SUBMIT CORRECTIONS OF THE DEFICIENCIES. IF
6 THE CORRECTIONS OF THE DEFICIENCIES ARE NOT SUBMITTED TO THE AUTHORITY
7 WITHIN SIXTY DAYS AFTER NOTICE OR DO NOT CORRECT THE DEFICIENCIES, THE
8 AUTHORITY MAY REJECT THE PETITION [PURSUANT TO SECTION 48-7003, SUBSECTION
9 D].

10 F. FOR PURPOSES OF THIS CHAPTER, ALL CERTIFICATIONS,
11 DETERMINATIONS, APPROVALS, FINDINGS AND ACTIONS REQUIRED TO BE MADE BY THE
12 AUTHORITY SHALL BE MADE BY THE EXECUTIVE DIRECTOR. ~~[NOTWITHSTANDING ANY~~
13 ~~OTHER LAW,]~~ NO ACTION, APPROVAL, RESOLUTION OR VOTE OF THE BOARD OF
14 DIRECTORS OF THE AUTHORITY IS REQUIRED FOR ANY CERTIFICATION,
15 DETERMINATION OR ACTION TAKEN BY THE EXECUTIVE DIRECTOR PURSUANT TO THIS
16 CHAPTER. ANY ACTION TAKEN BY THE EXECUTIVE DIRECTOR PURSUANT TO THIS
17 CHAPTER IS DEEMED AN ACTION OF THE AUTHORITY.

18 G. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN
19 CONNECTION WITH THE SUBMISSION AND CONSIDERATION OF AN APPLICATION AND
20 PETITION TO FORM A DISTRICT SHALL NOT EXCEED \$15,000 FOR EACH
21 PETITION. IF A PETITION IS DENIED BY THE AUTHORITY, THE AUTHORITY MAY NOT
22 ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH THE SUBMISSION AND
23 CONSIDERATION OF A REVISED PETITION THAT IS SUBMITTED WITHIN ONE YEAR
24 AFTER THE DENIAL.

25 48-7003. Authority; formation order; limitations on
26 rejection; fees

27 A. A DISTRICT SHALL BE FORMED ONLY ON THE ISSUANCE OF A FORMATION
28 ORDER BY THE AUTHORITY. THE AUTHORITY SHALL REVIEW THE PETITION SUBMITTED
29 PURSUANT TO SECTION 48-7002 AND ACCOMPANYING MATERIALS TO EVALUATE, SOLELY
30 ON THE BASIS OF THE INFORMATION INCLUDED WITH THE PETITION, THE FOLLOWING:

31 1. WHETHER ANY APPRAISAL OR THIRD-PARTY MARKET STUDY PROVIDED IN
32 CONNECTION WITH THE PETITION IS COMPLETE.

33 2. WHETHER THE DESCRIPTION OF THE PROPOSED PUBLIC INFRASTRUCTURE IN
34 THE GENERAL PLAN APPEARS COMPLETE ON ITS FACE AND DOES NOT CONTAIN OBVIOUS
35 ERRORS, WITHOUT ANY INDEPENDENT ENGINEERING INVESTIGATION, ANALYSIS OR
36 VERIFICATION.

37 3. WHETHER THE PRELIMINARY FINANCING PLAN INCLUDES THE ANTICIPATED
38 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

39 4. WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE
40 FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE
41 MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
42 APPLICABLE.

43 5. WHETHER FORMATION OF THE DISTRICT WILL VIOLATE ANY EXISTING AND
44 APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY
45 OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE BOUNDARIES OF
46 THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN CONNECTION WITH THE
47 PETITION.

1 B. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
2 THE FORMATION ORDER FOR THE DISTRICT IF THE AUTHORITY FINDS THAT ALL OF
3 THE FOLLOWING OCCURRED:
4 1. ALL REQUIRED DOCUMENTS HAVE BEEN SUBMITTED IN THE FORM
5 PRESCRIBED BY THIS CHAPTER.
6 2. THE PROPOSED DISTRICT MEETS ALL STATUTORY ELIGIBILITY AND
7 BOUNDARY REQUIREMENTS THAT ARE ESTABLISHED UNDER THIS CHAPTER.
8 3. THE NOTICE TO EACH AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS
9 LOCATED IN AN UNINCORPORATED AREA, TO THE COUNTY HAS BEEN PROVIDED AS
10 PRESCRIBED BY SECTION 48-7002, SUBSECTION D.
11 4. SOLELY ON THE BASIS OF THE INFORMATION SUBMITTED IN CONNECTION
12 WITH THE PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY,
13 THE DISTRICT HAS, OR WILL HAVE, THE FINANCIAL ABILITY TO DISCHARGE ITS
14 PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM
15 AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.
16 C. IF THE REQUIREMENTS OF SUBSECTION B OF THIS SECTION ARE
17 SATISFIED, THE AUTHORITY SHALL ISSUE A FORMATION ORDER WITHIN SIXTY DAYS
18 AFTER THE SUBMISSION OF A COMPLETE PETITION. THE FORMATION ORDER SHALL
19 INCLUDE ALL OF THE FOLLOWING:
20 1. THE NAME OF THE DISTRICT.
21 2. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT'S
22 BOUNDARIES.
23 3. A GENERAL DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THAT THE
24 DISTRICT MAY FINANCE.
25 4. A STATEMENT THAT A GENERAL PLAN AND A PRELIMINARY FINANCING PLAN
26 FOR THE DISTRICT WILL BE ON FILE WITH THE CLERK.
27 5. THE TYPES OF BONDS THAT THE DISTRICT IS AUTHORIZED TO ISSUE.
28 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
29 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
30 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.
31 7. THE NAMES AND INITIAL TERMS OF THE INITIAL BOARD OF DIRECTORS
32 AND THAT THE DISTRICT WILL BE GOVERNED BY DIRECTORS WHO ARE CHOSEN
33 PURSUANT TO THIS CHAPTER.
34 8. A STATEMENT THAT:
35 (a) THE FORMATION OF THE DISTRICT MAY RESULT IN THE LEVY OF AD
36 VALOREM TAXES OR ASSESSMENTS TO PAY THE COSTS OF AUTHORIZED PUBLIC
37 INFRASTRUCTURE THAT IS CONSTRUCTED BY THE DISTRICT AND FOR OPERATING AND
38 MAINTAINING THE AUTHORIZED PUBLIC INFRASTRUCTURE.
39 (b) ANY AD VALOREM TAX THAT IS LEVIED FOR THE PAYMENT OF GENERAL
40 OBLIGATION BONDS MAY NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM
41 AUTHORIZED TAX RATE THAT IS APPROVED AT THE ELECTION THAT AUTHORIZED THE
42 LEVY AND THE ISSUANCE OF THE BONDS.
43 (c) ANY BONDS OR OTHER OBLIGATIONS OF THE DISTRICT WILL NOT BE A
44 DEBT, LEGAL OR MORAL, OF THIS STATE OR ANY MUNICIPALITY OR ANY COUNTY OF
45 THIS STATE, ARE NOT OBLIGATIONS OF THIS STATE OR ANY MUNICIPALITY OR ANY
46 COUNTY OF THIS STATE AND ARE OBLIGATIONS OF THE DISTRICT AND ARE PAYABLE
47 ONLY FROM THE SOURCES PLEDGED FOR THEIR PAYMENT.
48 D. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
49 THE FORMATION ORDER IF THE AUTHORITY DETERMINES THAT THE PETITION AND

1 ACCOMPANYING MATERIALS MEET THE STATUTORY REQUIREMENTS OF THIS CHAPTER.
2 THE AUTHORITY'S REVIEW IS LIMITED TO CONFIRMING THAT THE STATUTORY
3 REQUIREMENTS OF THIS CHAPTER HAVE BEEN SATISFIED AND THE AUTHORITY MAY
4 DENY A PETITION ONLY UPON A WRITTEN FINDING OF ONE OF THE FOLLOWING:

5 1. THE PETITION IS INCOMPLETE.

6 2. THE FINANCIAL INFORMATION SUBMITTED IN CONNECTION WITH THE
7 PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY, IS
8 INCOMPLETE OR ~~[INSUFFICIENT TO SUPPORT A FINDING]~~ [ILLUSTRATES] THAT THE
9 DISTRICT ~~[HAS OR]~~ WILL [NOT] HAVE THE FINANCIAL ABILITY TO DISCHARGE ITS
10 PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM
11 AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

12 3. THE PROPOSED DISTRICT VIOLATES A STATUTORY PROHIBITION OR
13 BOUNDARY RULE UNDER THIS CHAPTER, AND IN EACH CASE THE PETITIONER FAILED
14 TO SUBMIT PROPOSED CORRECTIONS OF THE DEFICIENCIES WITHIN SIXTY DAYS AFTER
15 NOTICE.

16 [4. THE FORMATION OF THE PROPOSED DISTRICT WILL MATERIALLY VIOLATE
17 ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH
18 THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC INFRASTRUCTURE AND
19 THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE
20 DISTRICT WITH RESPECT TO THE DESIGN, CONSTRUCTION, CONVEYANCE, OPERATION
21 OR MAINTENANCE OF THE PUBLIC INFRASTRUCTURE.]

22 E. IF THE AUTHORITY DOES NOT ISSUE THE FORMATION ORDER WITHIN SIXTY
23 DAYS AFTER SUBMISSION OF A COMPLETE PETITION, THE AUTHORITY SHALL PROVIDE
24 A WRITTEN BASIS FOR NOT ADOPTING THE FORMATION ORDER AND SHALL IDENTIFY
25 THE SPECIFIC CHANGES THAT ARE NEEDED FOR THE PETITION TO BE APPROVED AND
26 FOR THE DISTRICT TO BE FORMED. SUCH ACTION WILL NOT CONSTITUTE A DENIAL
27 OF THE PETITION AND THE PETITION MAY BE REVISED AND RESUBMITTED AT ANY
28 TIME.

29 F. ON ISSUANCE OF THE FORMATION ORDER BY THE AUTHORITY, THE
30 DISTRICT SHALL CAUSE THE FORMATION ORDER TO BE RECORDED IN THE REAL
31 PROPERTY RECORDS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED AND SHALL
32 CAUSE A COPY OF THE FORMATION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR
33 AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS
34 LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE
35 DEPARTMENT OF REVENUE. ON RECORDING THE FORMATION ORDER, THE DISTRICT IS
36 ESTABLISHED AS A POLITICAL SUBDIVISION OF THIS STATE.

37 G. BEFORE RECORDING A FORMATION ORDER UNDER THIS SECTION, A GENERAL
38 PLAN FOR THE DISTRICT SHALL BE RECORDED WITH THE COUNTY RECORDER OF THE
39 COUNTY IN WHICH THE DISTRICT IS LOCATED THAT SETS OUT A GENERAL
40 DESCRIPTION OF THE IMPROVEMENTS FOR WHICH THE DISTRICT IS PROPOSED TO BE
41 FORMED AND THE AREAS TO BE IMPROVED.

42 H. ON FORMATION, THE DISTRICT IS A SPECIAL PURPOSE DISTRICT FOR THE
43 PURPOSES OF ARTICLE IX, SECTION 19, CONSTITUTION OF ARIZONA, A TAX LEVYING
44 PUBLIC IMPROVEMENT DISTRICT FOR THE PURPOSES OF ARTICLE XIII, SECTION 7,
45 CONSTITUTION OF ARIZONA, AND A MUNICIPAL CORPORATION FOR ALL PURPOSES OF
46 TITLE 35, CHAPTER 3, ARTICLES 3, 3.1, 3.2, 4 AND 5. A DISTRICT THAT
47 DISTRIBUTES OR SELLS GROUNDWATER IS A PRIVATE WATER COMPANY ONLY FOR THE
48 PURPOSES OF TITLE 45, CHAPTERS 2 AND 3.1. EXCEPT AS OTHERWISE PROVIDED IN
49 THIS SECTION, A DISTRICT IS CONSIDERED TO BE A MUNICIPAL CORPORATION AND

1 POLITICAL SUBDIVISION OF THIS STATE, SEPARATE AND APART FROM ANY
2 MUNICIPALITY OR COUNTY IN WHICH THE DISTRICT IS LOCATED. NOTWITHSTANDING
3 ANY OTHER LAW, A DISTRICT FORMED PURSUANT TO THIS CHAPTER DOES NOT HAVE
4 THE POWER OF EMINENT DOMAIN AND DOES NOT HAVE THE POWER TO ENACT ZONING
5 ORDINANCES.

6 I. ON FORMATION OF THE DISTRICT, THE BOARD SHALL MAKE A GOOD FAITH
7 EFFORT TO IMPLEMENT THE GENERAL PLAN FOR THE PUBLIC INFRASTRUCTURE OF THE
8 DISTRICT.

9 J. FEES AND OTHER CHARGES ASSESSED BY THE AUTHORITY IN CONNECTION
10 WITH THE SUBMISSION AND CONSIDERATION OF A PETITION TO FORM A DISTRICT MAY
11 NOT EXCEED \$15,000. IF A PETITION IS DENIED BY THE AUTHORITY, IT MAY NOT
12 ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH SUBMITTING AND CONSIDERING
13 A SUBSTANTIALLY SIMILAR PETITION THAT IS SUBMITTED WITHIN ONE YEAR AFTER
14 THE DENIAL. FEES AND OTHER CHARGES ASSESSED BY A DISTRICT IN CONNECTION
15 WITH ADMINISTERING THE DISTRICT, INCLUDING THE ISSUANCE AND SALE OF BONDS,
16 MAY NOT EXCEED THE ACTUAL EXPENSE INCURRED BY THE DISTRICT FOR STAFF AND
17 CONSULTANT SERVICES AND SUPPORT FACILITIES SUPPLIED BY THE DISTRICT OR THE
18 FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE DISTRICT THAT ARE NOT
19 REIMBURSED FROM PROCEEDS OF THE BONDS OR OTHER DISTRICT REVENUE.

20 K. AFTER THE FORMATION ORDER IS ISSUED, THE OWNERS OF AT LEAST
21 FIFTY PERCENT OF THE LAND IN THE DISTRICT MAY PETITION THE AUTHORITY TO
22 AMEND THE FORMATION ORDER TO MODIFY THE POWERS OR FINANCIAL PARAMETERS OF
23 THE DISTRICT, INCLUDING ANY MAXIMUM AUTHORIZED TAX RATE, MAXIMUM
24 AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, MAXIMUM
25 AGGREGATE ASSESSMENT AMOUNT OR MAXIMUM OPERATIONS AND MAINTENANCE TAX
26 RATE. ANY SUCH PETITION FOR AMENDMENT SHALL:

27 1. DESCRIBE THE PROPOSED AMENDMENTS TO THE FORMATION ORDER AND
28 GENERAL PLAN.

29 2. INCLUDE UPDATED FINANCIAL INFORMATION, INCLUDING AN UPDATED
30 PRELIMINARY FINANCING PLAN, SUFFICIENT TO ALLOW THE AUTHORITY TO DETERMINE
31 WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE FINANCIAL ABILITY
32 TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE REVISED MAXIMUM
33 AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
34 APPLICABLE.

35 3. DEMONSTRATE THAT THE PROPOSED AMENDMENTS DO NOT VIOLATE ANY
36 APPLICABLE STATUTORY ELIGIBILITY OR BOUNDARY REQUIREMENTS OR ANY
37 DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR COUNTY
38 RELATING TO THE LAND WITHIN THE DISTRICT.

39 L. THE AUTHORITY SHALL REVIEW AND ACT ON A PETITION FOR AMENDMENT
40 UNDER THE STANDARDS AND WITHIN THE TIME PERIODS PRESCRIBED IN SUBSECTIONS
41 A THROUGH E OF THIS SECTION, AND, IF APPROVED, SHALL ISSUE AND CAUSE TO BE
42 RECORDED AN AMENDED FORMATION ORDER REFLECTING THE APPROVED CHANGES.

43 M. ANY PETITION TO AMEND THE FORMATION ORDER THAT INCREASES THE
44 MAXIMUM AUTHORIZED TAX RATE OR MAXIMUM AGGREGATE ASSESSMENT AMOUNT SHALL
45 BE SIGNED BY ALL OWNERS OF ALL REAL PROPERTY IN THE DISTRICT.

46 N. THE AUTHORITY'S ISSUANCE OF A FORMATION ORDER PURSUANT TO THIS
47 CHAPTER IS A GOVERNMENTAL DETERMINATION OF STATEWIDE FINANCIAL COMPLIANCE
48 AND DOES NOT CONSTITUTE ZONING, PLANNING OR LAND-USE APPROVAL. [ANY
49 ACTION OF THE AUTHORITY OR THE EXECUTIVE DIRECTOR PURSUANT TO THIS ARTICLE

1 IS THE EXERCISE OF AN ADMINISTRATIVE FUNCTION INVOLVING THE DETERMINATION
2 OF FUNDAMENTAL GOVERNMENTAL POLICY AS PRESCRIBED IN SECTION 12-820.01.]

3 48-7004. District governance; board of directors; elections;
4 powers and duties

5 A. ON ISSUANCE OF THE FORMATION ORDER, A DISTRICT SHALL BE GOVERNED
6 BY A BOARD OF DIRECTORS THAT CONSISTS OF THREE DIRECTORS. THE INITIAL
7 DIRECTORS SHALL BE APPOINTED AS SET FORTH IN THE PETITION AND FORMATION
8 ORDER.

9 B. SUBJECT TO SUBSECTION J OF THIS SECTION, EACH DIRECTOR SHALL
10 EITHER HOLD A FEE TITLE TO REAL PROPERTY WITHIN THE DISTRICT OR BE AN
11 INDIVIDUAL WHO IS DESIGNATED OR APPOINTED BY A HOLDER OF A FEE TITLE TO
12 REAL PROPERTY WITHIN THE DISTRICT. A DIRECTOR WILL RESIGN FROM THE BOARD
13 OF DIRECTORS IF AT ANY TIME DURING SUCH DIRECTOR'S TERM THE DIRECTOR IS NO
14 LONGER AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT OR, IF SUCH DIRECTOR
15 WAS DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE
16 DISTRICT, SUCH OWNER OF REAL PROPERTY WITHIN THE DISTRICT IS NO LONGER AN
17 OWNER OF REAL PROPERTY WITHIN THE DISTRICT. SUCH DIRECTOR'S VACANCY WILL
18 BE FILLED PURSUANT TO SUBSECTION H OF THIS SECTION.

19 C. THE TERM OF THE INITIAL DIRECTORS BEGINS ON THE DATE OF THE
20 FORMATION ORDER. OF THE INITIAL DIRECTORS, ONE DIRECTOR SHALL SERVE A
21 TERM OF THREE YEARS, ONE DIRECTOR SHALL SERVE A TERM OF FOUR YEARS AND ONE
22 DIRECTOR SHALL SERVE A TERM OF FIVE YEARS, AS SPECIFIED IN THE PETITION.
23 THEREAFTER, EACH SUBSEQUENTLY ELECTED DIRECTOR SHALL SERVE A TERM OF THREE
24 YEARS. THESE SUBSEQUENTLY ELECTED DIRECTORS SHALL BE AN OWNER OF REAL
25 PROPERTY IN THE DISTRICT WHO SHALL BE ELECTED AT LARGE BY THE OWNERS OF
26 REAL PROPERTY IN THE DISTRICT, AS SHOWN ON THE PROPERTY TAX ASSESSMENT
27 ROLL, WHO ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041. THE BOARD
28 SHALL DEVELOP BYLAWS FOR THE OPERATION OF THE DISTRICT.

29 D. ONLY THE OWNERS THAT HOLD FEE TITLE TO REAL PROPERTY IN THE
30 DISTRICT AND THEIR RESPECTIVE DESIGNEES AND APPOINTEES ARE ELIGIBLE TO
31 VOTE IN:

32 1. AN ELECTION REGARDING AN AD VALOREM TAX OR AN ASSESSMENT TO BE
33 LEVIED AGAINST THE REAL PROPERTY IN THE DISTRICT.

34 2. AN ELECTION FOR THE BOARD OF THE DISTRICT.

35 3. AN ELECTION FOR DISSOLUTION OF THE DISTRICT.

36 E. CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE
37 ELIGIBLE TO VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR
38 EACH ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT
39 ANY FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH
40 OF AN ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE,
41 AS REPRESENTED BY THE VOTES CAST AT AN ELECTION THAT IS CONDUCTED SOLELY
42 UNDER THIS ACREAGE SYSTEM, DETERMINES THE RESULT OF THE ELECTION.

43 F. AN ELECTION CONDUCTED UNDER THIS SECTION SHALL BE HELD AS A
44 SPECIAL ELECTION OF THE DISTRICT AND SHALL BE NOTICED, CALLED, CONDUCTED
45 AND CANVASSED BY THE BOARD IN THE MANNER PRESCRIBED BY THIS CHAPTER. THE
46 BOARD MAY ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
47 MUNICIPALITY OR ANOTHER PUBLIC ENTITY FOR ELECTION ADMINISTRATION,
48 INCLUDING REIMBURSEMENT OF REASONABLE COSTS OF DISTRICT ELECTIONS.

49 G. THE BOARD SHALL:

1 1. ADOPT AND AMEND THE GENERAL PLAN FOR THE DISTRICT.
2 2. AUTHORIZE AND APPROVE THE ISSUANCE OF BONDS OF THE DISTRICT AS
3 PROVIDED BY THIS CHAPTER.
4 3. LEVY AD VALOREM TAXES AND ASSESSMENTS, SUBJECT TO THE
5 LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER, INCLUDING THE
6 MAXIMUM AUTHORIZED TAX RATE.
7 4. MANAGE AND ADMINISTER THE AFFAIRS OF THE DISTRICT, INCLUDING
8 OPERATING, MAINTAINING AND REPAIRING PUBLIC INFRASTRUCTURE THAT IS OWNED
9 OR OPERATED BY THE DISTRICT.
10 5. ADOPT ANNUAL BUDGETS, STATEMENTS AND ESTIMATES FOR THE DISTRICT.
11 6. ADMINISTER DISTRICT ELECTIONS OR ENTER INTO INTERGOVERNMENTAL
12 AGREEMENTS WITH THE COUNTY AND OTHER QUALIFIED PUBLIC ENTITIES TO
13 ADMINISTER DISTRICT ELECTIONS.
14 7. PERFORM ALL OTHER ACTS THAT ARE NECESSARY OR CONVENIENT TO CARRY
15 OUT THE PURPOSES OF THIS CHAPTER.
16 H. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF A DEATH, A
17 RESIGNATION OR AN INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF
18 DIRECTOR, THE VACANCY SHALL BE FILLED BY APPOINTMENT MADE BY THE REMAINING
19 DIRECTORS [WITHIN THIRTY DAYS OF A VACANCY. THE BOARD SHALL PROVIDE
20 WRITTEN NOTICE TO THE AUTHORITY THAT THE VACANCY HAS BEEN FILLED BY
21 APPOINTMENT WITHIN THIRTY DAYS OF THE APPOINTMENT OR, IF THE REMAINING
22 DIRECTORS HAVE NOT FILLED THE VACANCY BY APPOINTMENT, WRITTEN NOTICE TO
23 THE AUTHORITY THAT THE VACANCY HAS NOT BEEN FILLED BY APPOINTMENT WITHIN
24 THIRTY DAYS OF THE VACANCY]. A DIRECTOR APPOINTED BY THE REMAINING
25 DIRECTORS SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM UNTIL
26 THE DIRECTOR'S SUCCESSOR IS ELECTED AS PROVIDED BY THIS ARTICLE. A
27 DIRECTOR SHALL NOT BE AN ELECTED OFFICIAL OF A MUNICIPALITY IN WHICH THE
28 DISTRICT IS LOCATED OR AN INDIAN TRIBE OR COMMUNITY OR AN EMPLOYEE OR
29 AGENT OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY BUT MAY BE A DIRECTOR
30 OF MORE THAN ONE DISTRICT.
31 I. THE MEMBERS OF THE BOARD ARE NOT ELIGIBLE TO RECEIVE
32 COMPENSATION FOR THEIR SERVICES AS MEMBERS OF THE BOARD.
33 J. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF DEATH, RESIGNATION
34 OR INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF DIRECTOR, AND
35 THERE ARE NO OWNERS OF REAL PROPERTY WITHIN THE DISTRICT OR INDIVIDUALS
36 DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT,
37 WHO ARE WILLING TO FILL SUCH VACANCY, THE AUTHORITY SHALL APPOINT A
38 DIRECTOR TO FILL THE VACANCY. THE DIRECTOR APPOINTED BY THE AUTHORITY IS
39 NOT REQUIRED TO BE A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT
40 OR AN INDIVIDUAL DESIGNATED OR APPOINTED BY A FEE-TITLE OWNER OF REAL
41 PROPERTY WITHIN THE DISTRICT. THE DIRECTOR APPOINTED BY THE AUTHORITY
42 SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM AND UNTIL THE
43 DIRECTOR'S SUCCESSOR IS ELECTED, UNLESS A FEE-TITLE OWNER OF REAL PROPERTY
44 WITHIN THE DISTRICT SUBMITS A WRITTEN REQUEST TO THE AUTHORITY AND THE
45 BOARD TO REPLACE THE DIRECTOR APPOINTED BY THE AUTHORITY. IN THAT EVENT,
46 THE AUTHORITY SHALL, AS SOON AS PRACTICABLE, APPOINT THAT FEE-TITLE OWNER
47 OF REAL PROPERTY WITHIN THE DISTRICT TO REPLACE THE DIRECTOR APPOINTED BY
48 THE AUTHORITY.

1 K. THE BOARD SHALL COMPLY WITH TITLE 38, CHAPTER 3, ARTICLE 3.1 AS
2 A SEPARATE POLITICAL SUBDIVISION.

3 48-7005. Records: open meetings

4 A. A DISTRICT SHALL KEEP THE FOLLOWING RECORDS, WHICH SHALL BE
5 MAINTAINED BY THE CLERK AND OPEN TO PUBLIC INSPECTION:

6 1. MINUTES OF ALL BOARD MEETINGS.

7 2. ALL RESOLUTIONS.

8 3. ACCOUNTS SHOWING ALL MONIES RECEIVED AND DISBURSED.

9 4. THE ANNUAL BUDGET.

10 5. ALL OTHER RECORDS REQUIRED TO BE MAINTAINED BY LAW.

11 B. THE BOARD SHALL COMPLY WITH THE REQUIREMENTS OF TITLE 38,
12 CHAPTER 3, ARTICLE 3.1 AS A SEPARATE POLITICAL SUBDIVISION.

13 48-7006. District powers

14 A. IN ADDITION TO THE POWERS OTHERWISE GRANTED TO A DISTRICT
15 PURSUANT TO THIS CHAPTER, A DISTRICT, TO FURTHER IMPLEMENT THE GENERAL
16 PLAN, MAY:

17 1. ENTER INTO CONTRACTS AND EXPEND MONIES FOR ANY PUBLIC
18 INFRASTRUCTURE PURPOSE WITH RESPECT TO THE DISTRICT, INCLUDING IN
19 CONNECTION WITH THE ACQUISITION, CONSTRUCTION OR INSTALLATION OF PUBLIC
20 INFRASTRUCTURE.

21 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THIS STATE, A
22 COUNTY, A MUNICIPALITY OR ANY OTHER PUBLIC AGENCY THAT IS AUTHORIZED BY
23 LAW TO ENTER INTO INTERGOVERNMENTAL AGREEMENTS FOR THE PLANNING, DESIGN,
24 INSPECTION, OWNERSHIP, CONTROL, MAINTENANCE, OPERATION OR REPAIR OF PUBLIC
25 INFRASTRUCTURE.

26 3. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
27 MUNICIPALITY OR ANOTHER QUALIFIED PUBLIC ENTITY FOR THE ADMINISTRATION OF
28 DISTRICT ELECTIONS, INCLUDING AGREEMENTS TO REIMBURSE THE PUBLIC ENTITY
29 FOR THE REASONABLE COSTS OF DISTRICT ELECTIONS.

30 4. SELL, LEASE OR OTHERWISE DISPOSE OF DISTRICT PROPERTY IF THE
31 SALE, LEASE OR CONVEYANCE IS NOT A VIOLATION OF THE TERMS OF ANY CONTRACT,
32 BOND RESOLUTION OR TRUST INDENTURE OF THE DISTRICT.

33 5. OPERATE, MAINTAIN AND REPAIR PUBLIC INFRASTRUCTURE THAT IS OWNED
34 OR OPERATED BY THE DISTRICT.

35 6. ESTABLISH, CHARGE AND COLLECT USER FEES, RATES OR OTHER CHARGES
36 FOR THE USE OF ANY [SERVICE OR] PUBLIC INFRASTRUCTURE [OR SERVICE] OF THE
37 DISTRICT [OTHER THAN STREETS, ROADS OR HIGHWAYS].

38 7. EMPLOY OR CONTRACT FOR STAFF, COUNSEL AND CONSULTANTS, INCLUDING
39 ENGINEERS, ATTORNEYS, ACCOUNTANTS, FINANCIAL ADVISORS, UNDERWRITERS,
40 ADMINISTRATORS AND ELECTION OFFICIALS, TO ASSIST WITH DISTRICT AND BOARD
41 ADMINISTRATION, FINANCING AND ELECTION MATTERS.

42 8. INCUR AND REPAY LOANS, ADVANCES OR OTHER OBLIGATIONS FOR ANY
43 PUBLIC INFRASTRUCTURE PURPOSE, INCLUDING TO PROVIDE FOR THE PRESENT
44 FINANCING OF COSTS TO BE REIMBURSED FROM FUTURE DISTRICT REVENUES OR
45 REIMBURSEMENTS RELATED TO PUBLIC INFRASTRUCTURE.

46 9. ENTER INTO AGREEMENTS WITH LANDOWNERS AND WITH A MUNICIPALITY OR
47 COUNTY FOR THE COLLECTION OF FEES AND CHARGES FROM LANDOWNERS FOR PUBLIC
48 INFRASTRUCTURE PURPOSES, FOR THE ADVANCE OF MONIES BY LANDOWNERS FOR
49 PUBLIC INFRASTRUCTURE PURPOSES OR FOR THE GRANTING OF REAL PROPERTY OR

1 INTERESTS IN REAL PROPERTY BY A LANDOWNER FOR PUBLIC INFRASTRUCTURE
2 PURPOSES, AND TO RECOGNIZE, ASSIGN, CONFIRM OR CONSENT TO THE ASSIGNMENT
3 BY SUCH LANDOWNERS OF THEIR RIGHTS TO RECEIVE ANY REIMBURSEMENTS OR
4 PAYMENTS FROM THE DISTRICT FOR PUBLIC INFRASTRUCTURE COSTS, INCLUDING TO
5 OR IN FAVOR OF LENDERS, TRUSTEES OR OTHER FINANCING PARTIES.

6 10. BY RESOLUTION, LEVY AND ASSESS THE COSTS OF ANY PUBLIC
7 INFRASTRUCTURE PURPOSE ON ANY LAND THAT IS BENEFITED IN THE DISTRICT,
8 SUBJECT TO THE LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER,
9 INCLUDING THE MAXIMUM AUTHORIZED TAX RATE.

10 11. PAY THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE
11 DISTRICT.

12 12. ENTER INTO CONTRACTS, AGREEMENTS AND TRUST INDENTURES TO OBTAIN
13 CREDIT ENHANCEMENT OR LIQUIDITY SUPPORT FOR ITS BONDS AND TO PROVIDE FOR
14 THE ISSUANCE, REGISTRATION, TRANSFER AND PAYMENT OF ITS BONDS AND FOR THE
15 DISBURSEMENT AND INVESTMENT OF BOND PROCEEDS.

16 13. ENTER INTO AGREEMENTS WITH PERSONS OUTSIDE OF THE DISTRICT TO
17 PROVIDE SERVICES TO PERSONS AND PROPERTY OUTSIDE OF THE DISTRICT AND TO
18 RECEIVE COMPENSATION FOR THOSE SERVICES.

19 14. USE PUBLIC EASEMENTS AND RIGHTS-OF-WAY IN OR ACROSS PUBLIC
20 PROPERTY, ROADWAYS, HIGHWAYS, STREETS OR OTHER THOROUGHFARES AND OTHER
21 PUBLIC EASEMENTS AND RIGHTS-OF-WAY, WHETHER IN OR OUT OF THE GEOGRAPHICAL
22 LIMITS OF THE DISTRICT, A MUNICIPALITY OR A COUNTY, SUBJECT TO APPLICABLE
23 LAW[. PERMITTING RESTRICTIONS] AND THE RIGHTS OF THE PUBLIC.

24 B. IN CONNECTION WITH ANY POWER AUTHORIZED BY STATUTE, THE DISTRICT
25 MAY:

26 1. CONTRACT.

27 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS PURSUANT TO TITLE 11,
28 CHAPTER 7, ARTICLE 3.

29 3. ADOPT AND CHANGE A SEAL.

30 4. SUE AND BE SUED.

31 5. ENTER INTO DEVELOPMENT AGREEMENTS AS DEFINED IN SECTION
32 9-500.05.

33 C. A DISTRICT IS NOT EMPOWERED TO EXERCISE LAND USE OR ZONING
34 AUTHORITY AND MAY NOT ADOPT, AMEND OR ENFORCE ZONING ORDINANCES OR SIMILAR
35 LAND USE REGULATIONS.

36 D. PUBLIC INFRASTRUCTURE OTHER THAN PERSONALTY MAY BE LOCATED ONLY
37 IN OR ON LANDS OWNED BY THIS STATE, A COUNTY, A MUNICIPALITY OR THE
38 DISTRICT OR DEDICATED OR OTHERWISE DESIGNATED AS PUBLIC ROADWAYS,
39 HIGHWAYS, STREETS, THOROUGHFARES, EASEMENTS OR RIGHTS-OF-WAY, WHETHER IN
40 OR OUT OF THE DISTRICT OR A MUNICIPALITY. PERSONALTY MAY BE USED ONLY FOR
41 PURPOSES AUTHORIZED BY THE BOARD.

42 E. AN AGREEMENT PURSUANT TO SUBSECTION A, PARAGRAPH 9 OF THIS
43 SECTION MAY INCLUDE AGREEMENTS TO REPAY ALL OR PART OF SUCH ADVANCES, FEES
44 AND CHARGES FROM THE PROCEEDS OF BONDS IF ISSUED OR FROM ADVANCES, FEES
45 AND CHARGES COLLECTED FROM OTHER LANDOWNERS OR USERS OR THOSE HAVING A
46 RIGHT TO USE ANY INFRASTRUCTURE. A PERSON DOES NOT HAVE AUTHORITY TO
47 COMPEL THE ISSUANCE OR SALE OF THE BONDS OF THE DISTRICT OR THE EXERCISE
48 OF ANY TAXING POWER OF THE DISTRICT TO MAKE REPAYMENT UNDER ANY AGREEMENT.

49 48-7007. District finances; revenue

1 THE PROJECTS TO BE CONSTRUCTED OR ACQUIRED AS SHOWN IN THE GENERAL
2 PLAN MAY BE FINANCED FROM THE FOLLOWING SOURCES OF REVENUE:
3 1. PROCEEDS RECEIVED FROM THE SALE OF BONDS OF THE DISTRICT.
4 2. MONIES OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY THAT ARE
5 CONTRIBUTED TO THE DISTRICT.
6 3. ASSESSMENTS.
7 4. AD VALOREM TAXES.
8 5. PRIVATE CONTRIBUTIONS.
9 6. USER, LANDOWNER AND OTHER FEES AND CHARGES.
10 7. PROCEEDS OF LOANS OR ADVANCES.
11 8. ANY OTHER MONIES AVAILABLE TO THE DISTRICT BY LAW.
12 48-7008. Project review by authority; hearing; notice; fees
13 A. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE, THE
14 BOARD SHALL CAUSE A STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT
15 THAT SHALL BE PREPARED BY ENGINEERS AND OTHER QUALIFIED PERSONS AND THAT
16 SHALL INCLUDE A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED
17 OR ACQUIRED AND ALL OTHER INFORMATION USEFUL TO UNDERSTAND THE PROJECT, A
18 MAP SHOWING, IN GENERAL, THE LOCATION OF THE PROJECT, AN ESTIMATE OF THE
19 COST TO CONSTRUCT, ACQUIRE, OPERATE AND MAINTAIN THE PROJECT, AN ESTIMATED
20 SCHEDULE FOR COMPLETION OF THE PROJECT, A MAP OR DESCRIPTION OF THE AREA
21 TO BE BENEFITED BY THE PROJECT AND THE FINANCING PLAN FOR THE PROJECT.
22 WITHIN SIXTY DAYS AFTER RECEIVING THE REPORT, THE BOARD SHALL HOLD A
23 PUBLIC HEARING ON THE REPORT AND PROVIDE NOTICE OF THE HEARING BY
24 PUBLICATION NOT LESS THAN TEN DAYS IN ADVANCE IN THE OFFICIAL NEWSPAPER OF
25 THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED OR, IF NONE IN THE
26 MUNICIPALITY [OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA], A
27 NEWSPAPER OF GENERAL CIRCULATION IN THE COUNTY AND BY MAIL TO THE
28 GOVERNING BODY OF THE MUNICIPALITY. WITHIN SIXTY DAYS AFTER THE HEARING,
29 THE BOARD MAY REJECT, AMEND OR APPROVE THE REPORT. IF THE REPORT IS
30 AMENDED SUBSTANTIALLY, A NEW HEARING SHALL BE HELD WITHIN SIXTY DAYS AFTER
31 THE DATE THE AMENDED REPORT IS RECEIVED AND BEFORE APPROVAL. IF THE
32 REPORT IS APPROVED, THE BOARD SHALL ADOPT A RESOLUTION THAT IDENTIFIES THE
33 PUBLIC INFRASTRUCTURE OF THE PROJECT, THE AREAS BENEFITED, THE EXPECTED
34 METHOD OF FINANCING, INCLUDING THE NATURE AND TIMING OF THE ISSUANCE OF
35 BONDS, IF ANY, AND AN APPROPRIATE SYSTEM OF PROVIDING REVENUES TO OPERATE
36 AND MAINTAIN THE PROJECT[, IF APPLICABLE]. THE BOARD SHALL EXECUTE THE
37 PROVISIONS OF THE REPORT WITHIN THE TIME FRAMES IDENTIFIED IN THE APPROVED
38 REPORT.
39 B. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE AND
40 BEFORE THE BOARD HAS HELD THE PUBLIC HEARING PRESCRIBED IN SUBSECTION A OF
41 THIS SECTION, THE BOARD SHALL CAUSE THE STUDY OF THE FEASIBILITY AND
42 BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION TO BE
43 PROVIDED TO THE AUTHORITY. IN ADDITION TO THE STUDY OF THE FEASIBILITY
44 AND BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION,
45 THE BOARD SHALL CAUSE THE FOLLOWING INFORMATION TO BE PROVIDED TO THE
46 AUTHORITY:
47 1. THE PROPOSED MAXIMUM PRINCIPAL AMOUNT OF BONDS TO BE ISSUED, THE
48 MAXIMUM INTEREST RATE AND A PRELIMINARY DEBT SERVICE SCHEDULE FOR THE
49 BONDS.

1 2. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
2 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, ~~[AN~~
3 ~~APPRAISAL]~~ [A REPORT] INDICATING THE PROJECTED MARKET VALUE OF THE REAL
4 PROPERTY AND IMPROVEMENTS IN THE DISTRICT AFTER THE PUBLIC INFRASTRUCTURE
5 TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH
6 BONDS IS COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY
7 THE DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
8 PROCEEDS OF SUCH BONDS.

9 3. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
10 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A
11 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY
12 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
13 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING, TOGETHER WITH A
14 PROJECTION OF THE AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT
15 SERVICE ON THE GENERAL OBLIGATION BONDS, WHICH PROJECTED RATE DOES NOT
16 EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

17 4. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
18 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, AN
19 APPRAISAL INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN
20 THE DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
21 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
22 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

23 5. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
24 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, THE MAXIMUM
25 AGGREGATE ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT TO BE LEVIED IN
26 CONNECTION WITH THE ASSESSMENT BONDS.

27 6. THE ANTICIPATED BUILD-OUT SCHEDULE AND ASSOCIATED VALUATION
28 INCREASES.

29 7. THE CURRENTLY OUTSTANDING AGGREGATE PRINCIPAL AMOUNT OF ALL
30 BONDS OF THE DISTRICT AND THE CURRENT AD VALOREM TAX RATE OF THE DISTRICT,
31 IF ANY.

32 8. THE PROPOSED FINANCING TEAM, INCLUDING THE UNDERWRITER OR
33 PLACEMENT AGENT AND THE DISTRICT'S BOND COUNSEL.

34 9. A CERTIFICATION AS TO THE REASONABLENESS OF ASSUMPTIONS THAT ARE
35 USED IN THE MARKET VALUE AND GROWTH PROJECTIONS.

36 10. A CERTIFICATION THAT THE CONSTRUCTION OR ACQUISITION OF THE
37 PUBLIC INFRASTRUCTURE, AS APPLICABLE, WILL NOT CONFLICT WITH ANY EXISTING
38 AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE
39 MUNICIPALITY OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE
40 BOUNDARIES OF THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN
41 CONNECTION WITH THE PETITION.

42 C. THE AUTHORITY SHALL REVIEW THE INFORMATION SUBMITTED PURSUANT TO
43 SUBSECTION B OF THIS SECTION TO CONFIRM, SOLELY ON THE BASIS OF THE
44 INFORMATION SUBMITTED AND WITHOUT ANY INDEPENDENT DETERMINATION OF
45 FEASIBILITY OR VALUE, THAT ALL INFORMATION REQUIRED PURSUANT TO SUBSECTION
46 B OF THIS SECTION HAS BEEN SUBMITTED AND THAT THE CONSTRUCTION OR
47 ACQUISITION OF THE PUBLIC INFRASTRUCTURE, OR BOTH, AS APPLICABLE, COMPLIES
48 WITH THE FORMATION ORDER AND THE GENERAL PLAN AND DOES NOT OTHERWISE
49 VIOLATE THE PROVISIONS OF THIS CHAPTER.

1 D. THE AUTHORITY SHALL PROVIDE WRITTEN NOTICE TO THE DISTRICT
2 WITHIN THIRTY DAYS AFTER RECEIVING THE INFORMATION SUBMITTED PURSUANT TO
3 SUBSECTION B OF THIS SECTION IF THE SUBMITTED INFORMATION IS INCOMPLETE OR
4 HAS NOT BEEN SUBMITTED OR IF THE SUBMITTED INFORMATION INDICATES THAT THE
5 CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE DOES NOT COMPLY
6 WITH THE FORMATION ORDER OR THE GENERAL PLAN OR DOES NOT OTHERWISE COMPLY
7 WITH THE PROVISIONS OF THIS CHAPTER, WHICH WRITTEN NOTICE SHALL IDENTIFY
8 ANY DEFICIENCIES. THE BOARD MAY NOT HOLD THE PUBLIC HEARING DESCRIBED IN
9 SUBSECTION A OF THIS SECTION UNTIL THIRTY DAYS HAS ELAPSED SINCE THE
10 SUBMISSION OF THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS
11 SECTION AND THE DISTRICT HAS NOT RECEIVED FROM THE AUTHORITY THE NOTICE
12 PRESCRIBED IN THIS SUBSECTION.

13 E. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN
14 CONNECTION WITH THE REVIEW OF THE INFORMATION SUBMITTED PURSUANT TO
15 SUBSECTION B OF THIS SECTION SHALL NOT EXCEED \$15,000 FOR EACH SUBMISSION.

16 ARTICLE 2. FINANCIAL PROVISIONS

17 48-7021. General obligation bonds debt limitations; maximum
18 authorized tax rate

19 A. THE TOTAL AGGREGATE OUTSTANDING AMOUNT OF GENERAL OBLIGATION
20 BONDS AND ANY OTHER INDEBTEDNESS FOR WHICH THE AD VALOREM TAXES OF THE
21 DISTRICT ARE PLEDGED SHALL NOT EXCEED SIXTY PERCENT OF THE AGGREGATE OF
22 THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE
23 DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED BY
24 THE DISTRICT WITH THE PROCEEDS OF SUCH GENERAL OBLIGATION BONDS IS
25 COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE
26 DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
27 PROCEEDS OF SUCH GENERAL OBLIGATION BONDS.

28 B. ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON ALL GENERAL
29 OBLIGATION BONDS OF THE DISTRICT SHALL NOT BE LEVIED AT A RATE THAT
30 EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. THE MAXIMUM AUTHORIZED TAX RATE
31 SHALL BE INDICATED IN THE PETITION AND THE FORMATION ORDER AND SHALL BE
32 APPROVED AT AN ELECTION HELD PURSUANT TO SECTION 48-7041 EXCEPT THAT THE
33 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED
34 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE
35 DISTRICT. THE AUTHORITY SHALL NOT OTHERWISE RESTRICT THE MAXIMUM
36 AUTHORIZED TAX RATE, THE MAXIMUM ASSESSMENT ASSESSED BY A DISTRICT OR THE
37 MAXIMUM AGGREGATE AMOUNT OF BONDS ISSUED BY A DISTRICT EXCEPT AS EXPRESSLY
38 PROVIDED IN THIS CHAPTER.

39 48-7022. General obligation bonds; tax levy; security

40 A. AT ANY TIME AFTER THE FORMATION OF A DISTRICT, THE BOARD MAY
41 FROM TIME TO TIME ORDER AND CALL A GENERAL OBLIGATION BOND ELECTION TO
42 SUBMIT TO THE QUALIFIED ELECTORS OF THE DISTRICT OR TO THOSE PERSONS WHO
43 ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041 THE QUESTION OF
44 AUTHORIZING THE BOARD TO ISSUE GENERAL OBLIGATION BONDS OF THE DISTRICT TO
45 PROVIDE MONIES FOR ANY PUBLIC INFRASTRUCTURE PURPOSES CONSISTENT WITH THE
46 GENERAL PLAN AND THE QUESTION OF AUTHORIZING AN AD VALOREM TAX TO BE
47 LEVIED.

48 B. IF GENERAL OBLIGATION BONDS ARE APPROVED AT AN ELECTION, THE
49 BOARD MAY ISSUE AND SELL GENERAL OBLIGATION BONDS OF THE DISTRICT, THE

1 TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, SUBJECT TO THE LIMITATION THAT
2 ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON THE GENERAL
3 OBLIGATION BONDS SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM
4 AUTHORIZED TAX RATE.

5 C. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
6 GENERAL OBLIGATION BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
7 THIRTY YEARS. IF GENERAL OBLIGATION BONDS ARE ISSUED TO REFUND ANY
8 GENERAL OBLIGATION BONDS OF THE DISTRICT, AN ELECTION ON THE ISSUANCE OF
9 SUCH REFUNDING BONDS IS NOT REQUIRED, BUT ANY AD VALOREM TAX LEVIED TO PAY
10 THE DEBT SERVICE ON SUCH REFUNDING BONDS SHALL NOT BE LEVIED AT A RATE
11 THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. AD VALOREM TAXES LEVIED TO
12 PAY GENERAL OBLIGATION BONDS OF A DISTRICT ARE LIMITED TAXES SUBJECT TO
13 THE MAXIMUM AUTHORIZED TAX RATE APPROVED AT ELECTION AND DO NOT CONSTITUTE
14 UNLIMITED AD VALOREM TAXES.

15 D. AFTER THE BONDS ARE ISSUED, THE BOARD SHALL ENTER IN ITS MINUTES
16 A RECORD OF THE BONDS SOLD AND THEIR NUMBERS AND DATES AND SHALL ANNUALLY
17 LEVY AND CAUSE AN AD VALOREM TAX TO BE COLLECTED, AT THE SAME TIME AND IN
18 THE SAME MANNER AS OTHER TAXES ARE LEVIED AND COLLECTED ON ALL TAXABLE
19 PROPERTY IN THE DISTRICT, SUFFICIENT, TOGETHER WITH ANY MONIES FROM THE
20 SOURCES DESCRIBED IN SECTION 48-7007, TO PAY DEBT SERVICE ON THE BONDS
21 WHEN DUE. THE ANNUAL LEVY SHALL NOT EXCEED THE NET AMOUNT NECESSARY TO
22 MEET ANNUAL PAYMENTS OF PRINCIPAL AND INTEREST, PROJECTED PAYMENTS OF
23 PRINCIPAL AND INTEREST ON NEW DEBT PLANNED FOR THE ENSUING YEAR, A
24 REASONABLE DELINQUENCY FACTOR, INCLUDING AN AMOUNT NECESSARY TO CORRECT
25 PRIOR YEAR ERRORS OR SHORTAGES IN THE LEVY, IF APPLICABLE, AND ANY
26 EXPENSES AND FEES REQUIRED IN CONJUNCTION WITH THE AUTHORIZATION PURSUANT
27 TO SECTION 35-512. THE ANNUAL AD VALOREM TAX RATE LEVIED PURSUANT TO THIS
28 SUBSECTION SHALL NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE. THE LEVY
29 SHALL BE THE NET OF ALL CASH IN EXCESS OF TEN PERCENT OF THE ANNUAL
30 PAYMENTS OF PRINCIPAL AND INTEREST IN THE CURRENT FISCAL YEAR FROM THE
31 PREVIOUS YEAR THAT REMAIN IN THE FUND OR FUNDS PRESCRIBED BY SUBSECTION E
32 OF THIS SECTION.

33 E. MONIES DERIVED FROM THE LEVY OF THE TAX PROVIDED IN THIS SECTION
34 WHEN COLLECTED CONSTITUTE FUNDS TO PAY THE DEBT SERVICE ON THE BONDS AND
35 SHALL BE KEPT SEPARATELY FROM OTHER FUNDS OF THE DISTRICT. AMOUNTS LEVIED
36 FOR DEBT SERVICE ON BONDS PAYABLE FROM THE SECONDARY TAX ARE AND SHALL BE
37 CONSIDERED SPECIAL REVENUES OF THE DISTRICT, SHALL BE KEPT IN A SPECIAL,
38 SEGREGATED FUND, ARE NOT AND SHALL NOT BE GENERAL PROPERTY TAXES AND MAY
39 NOT BE USED FOR ANY OTHER PURPOSE OF THE DISTRICT.

40 F. ALL GENERAL OBLIGATION BONDS, HERETOFORE AND HEREAFTER ISSUED,
41 ARE SECURED BY A LIEN ON ALL REVENUES RECEIVED PURSUANT TO THE AD VALOREM
42 TAX LEVY. THE LIEN ARISES AUTOMATICALLY WITHOUT THE NEED FOR ANY ACTION
43 OR AUTHORIZATION BY THE DISTRICT OR THE BOARD. THE LIEN IS VALID AND
44 BINDING FROM THE TIME OF THE ISSUANCE OF THE GENERAL OBLIGATION BONDS.
45 THE REVENUES RECEIVED PURSUANT TO THE LEVY OF THE AD VALOREM TAX ARE
46 IMMEDIATELY SUBJECT TO THE LIEN. THE LIEN ATTACHES IMMEDIATELY TO THE
47 REVENUES AND IS EFFECTIVE, BINDING AND ENFORCEABLE AGAINST THE DISTRICT,
48 THE DISTRICT'S SUCCESSORS, TRANSFEREES AND CREDITORS AND ALL OTHER PARTIES
49 ASSERTING RIGHTS IN THE REVENUES, IRRESPECTIVE OF WHETHER THE PARTIES HAVE

1 NOTICE OF THE LIEN, WITHOUT THE NEED FOR ANY PHYSICAL DELIVERY,
2 RECORDATION, FILING OR FURTHER ACT.

3 48-7023. Assessments: assessment lien bonds: judicial review

4 A. AFTER APPROVAL OF THE ASSESSMENT AT AN ELECTION HELD AS
5 PRESCRIBED BY SECTION 48-7041, AND PURSUANT TO THE PROCEDURES PRESCRIBED
6 BY SECTIONS 48-576 THROUGH 48-589, AS NEARLY AS PRACTICABLE, OR SUCH OTHER
7 PROCEDURES AS THE BOARD PROVIDES, THE BOARD, MAY LEVY BY RESOLUTION AN
8 ASSESSMENT OF THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE OR ANY
9 OPERATION AND MAINTENANCE OF PUBLIC INFRASTRUCTURE ON ANY LAND IN THE
10 DISTRICT THAT IS BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE
11 RECEIVED BY THE LAND. BEFORE THE ISSUANCE OF ASSESSMENT BONDS, THE
12 DISTRICT MAY ENTER INTO A WRITTEN AGREEMENT WITH A LANDOWNER AS TO THE
13 MANNER IN WHICH THE ASSESSMENT IS TO BE ALLOCATED IF THE LAND IS TO BE
14 DIVIDED INTO MORE THAN ONE PARCEL. IF AN ISSUE OF ASSESSMENT BONDS
15 FINANCES MORE THAN ONE PURPOSE OR SERVICE, THE BENEFIT RECEIVED BY THE
16 LAND, IN THE DISCRETION OF THE DISTRICT, MAY BE DETERMINED BY REFERENCE TO
17 THE PURPOSES AND SERVICES AS A WHOLE OR INDIVIDUALLY. THE ASSESSMENT MAY
18 BE BASED ON ESTIMATED COSTS AND AMENDED TO REFLECT ACTUAL COSTS, AND THE
19 PREPARATION OF PLANS AND SPECIFICATIONS AND THE AWARDED OF THE CONTRACT
20 ARE NOT A PREREQUISITE TO THE LEVYING OF THE ASSESSMENT. AN OWNER OF LAND
21 ON WHICH AN ASSESSMENT HAS BEEN LEVIED MAY SEEK JUDICIAL REVIEW OF WHETHER
22 THE LAND IS BENEFITED BY THE PROPOSED PUBLIC INFRASTRUCTURE, ON THE
23 MERITS, BY SPECIAL ACTION FILED WITH THE COURT OF APPEALS, WITHIN THIRTY
24 DAYS AFTER THE EFFECTIVE DATE OF THE RESOLUTION.

25 B. AFTER ADOPTION BY THE BOARD OF A RESOLUTION LEVYING AN
26 ASSESSMENT ON PROPERTY IN THE DISTRICT, THE BOARD MAY ISSUE AND SELL
27 ASSESSMENT BONDS, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, PAYABLE
28 FROM AMOUNTS COLLECTED FROM THE ASSESSMENTS, FROM AMOUNTS AVAILABLE FROM
29 TIME TO TIME IN ANY RESERVE FUND ESTABLISHED FOR THOSE BONDS AND FROM ANY
30 OTHER AMOUNTS AVAILABLE FOR THOSE PURPOSES AS PRESCRIBED BY SECTION 48-
31 7007. THE DISTRICT AND THE COUNTY TREASURER FOR THE COUNTY IN WHICH THE
32 DISTRICT IS LOCATED MAY ENTER INTO AN AGREEMENT FOR THE COUNTY TREASURER
33 TO COLLECT THE DISTRICT'S ASSESSMENTS IN THE MANNER AND BY THE OFFICERS
34 PROVIDED BY LAW FOR THE COLLECTION AND ENFORCEMENT OF GENERAL TAXES. THE
35 DISTRICT AND THE COUNTY TREASURER MAY PROVIDE BY AGREEMENT FOR THE PAYMENT
36 OF THE COUNTY TREASURER'S COLLECTION EXPENSES DIRECTLY RELATED TO THE LEVY
37 OF THE ASSESSMENT AND, IF SO PROVIDED, THE LEVY OF THE ASSESSMENT MAY
38 INCLUDE AN AMOUNT FOR COMPENSATION OF THE COUNTY TREASURER DIRECTLY
39 RELATED TO THE COLLECTION OF THE ASSESSMENT. THE COMPENSATION RECEIVED BY
40 THE COUNTY TREASURER PURSUANT TO THE AGREEMENT SHALL BE GOVERNED BY
41 SECTION 11-496. THE BOARD MAY ALSO ISSUE AND SELL BOND ANTICIPATION NOTES
42 PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTION 48-2081 OR WITH
43 PROCEDURES AS SIMILAR TO THOSE AS IS PRACTICABLE. THE ASSESSMENT SHALL BE
44 A FIRST LIEN ON THE PROPERTY ASSESSED SUBJECT ONLY TO GENERAL PROPERTY
45 TAXES AND PRIOR ASSESSMENTS. IN THE EVENT OF NONPAYMENT OF AN ASSESSMENT
46 AND EXCEPT AS OTHERWISE PROVIDED IN AN AGREEMENT BETWEEN THE DISTRICT AND
47 THE COUNTY TREASURER PURSUANT TO THIS SECTION, THE PROCEDURES FOR
48 COLLECTION OF DELINQUENT ASSESSMENTS, SALE OF DELINQUENT PROPERTY AND
49 ISSUANCE AND EFFECT OF THE DEED PRESCRIBED BY SECTIONS 48-601 THROUGH 48-

1 607 APPLY, AS NEARLY AS PRACTICABLE, EXCEPT THAT THE DISTRICT, A
2 MUNICIPALITY[, A COUNTY] OR THE STATE IS NOT REQUIRED TO PURCHASE THE
3 DELINQUENT LAND AT THE SALE IF THERE IS NO OTHER PURCHASER. IF THE
4 LANDOWNER OWNS MORE THAN ONE PARCEL IN THE DISTRICT, THE BOARD MAY PROVIDE
5 PROCEDURES FOR THE COLLECTION AND ENFORCEMENT OF ASSESSMENTS AS THE BOARD
6 DEEMS APPROPRIATE BY CONTRACT WITH A LANDOWNER TO ALLOW THE SALE OF ANY OR
7 ALL OF THE LANDOWNER'S PARCELS IN THE DISTRICT IF THE LANDOWNER BECOMES
8 DELINQUENT AS TO ANY PARCEL THAT THE LANDOWNER OWNS IN THE DISTRICT.

9 C. ON ADOPTION OF THE RESOLUTION, BUT BEFORE ISSUANCE OF THE
10 ASSESSMENT BONDS, THE DISTRICT MAY DIRECT THE TREASURER TO MAKE DEMAND ON
11 THE OWNERS OF THE PROPERTY SO ASSESSED, AS SHOWN ON THE PROPERTY TAX ROLL,
12 FOR ADVANCE PAYMENT OF THE AMOUNT ASSESSED. THE DEMAND SHALL STATE A DATE
13 NOT LESS THAN TWENTY DAYS AFTER THE DATE OF ADOPTION OF THE RESOLUTION
14 AFTER WHICH THE TREASURER MAY REFUSE TO ACCEPT ADVANCE PAYMENTS OF THE
15 ASSESSMENT. THE TREASURER SHALL CERTIFY TO THE CLERK ON OR AFTER THE DATE
16 SPECIFIED IN THE DEMAND THE AMOUNT COLLECTED AND THE ASSESSMENTS REMAINING
17 UNPAID AGAINST EACH PARCEL OF LAND ASSESSED. ASSESSMENT BONDS MAY NOT BE
18 ISSUED IN AN AMOUNT IN EXCESS OF THE AMOUNT ASSESSED IN THE RESOLUTION OR,
19 IF ADVANCE PAYMENTS ARE DEMANDED, THE AMOUNT CERTIFIED TO THE CLERK. THE
20 DISTRICT MAY ADOPT PROCEDURES FOR PREPAYMENT AND PROVISIONS FOR PAYMENT
21 AND REALLOCATION OF ASSESSMENTS.

22 D. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
23 ASSESSMENT BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
24 YEARS.

25 48-7024. Revenue bonds

26 A. AT ANY TIME AFTER THE HEARING ON FORMATION OF THE DISTRICT, THE
27 BOARD MAY HOLD A HEARING ON THE QUESTION OF AUTHORIZING THE BOARD TO ISSUE
28 REVENUE BONDS OF THE DISTRICT TO PROVIDE MONIES FOR ANY INFRASTRUCTURE
29 PURPOSES CONSISTENT WITH THE GENERAL PLAN.

30 B. IF REVENUE BONDS ARE APPROVED BY RESOLUTION, THE BOARD MAY ISSUE
31 AND SELL REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
32 THIRTY YEARS.

33 C. THE BOARD MAY PLEDGE TO THE PAYMENT OF ITS REVENUE BONDS ANY
34 REVENUES OF THE DISTRICT OR REVENUES TO BE COLLECTED BY A MUNICIPALITY OR
35 A COUNTY IN TRUST FOR THE DISTRICT AND RETURNED TO THE DISTRICT.

36 D. THE DISTRICT SHALL PRESCRIBE FEES AND CHARGES, AND SHALL REVISE
37 THEM WHEN NECESSARY, TO GENERATE REVENUE SUFFICIENT, TOGETHER WITH ANY
38 MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, TO PAY WHEN DUE THE
39 PRINCIPAL AND INTEREST OF ALL REVENUE BONDS FOR THE PAYMENT OF WHICH
40 REVENUE HAS BEEN PLEDGED. THE ESTABLISHMENT OR REVISION OF ANY RATES, FEES
41 AND CHARGES SHALL BE IDENTIFIED AND NOTICED CONCURRENTLY WITH THE ANNUAL
42 BUDGET PROCESS OF THE DISTRICT PURSUANT TO SECTION 48-7027.

43 E. IF, IN THE RESOLUTION OF THE BOARD, THE REVENUES TO BE PLEDGED
44 ARE LIMITED TO CERTAIN TYPES OF REVENUES, ONLY THOSE TYPES OF REVENUES MAY
45 BE PLEDGED AND ONLY THOSE REVENUES MUST BE MAINTAINED.

46 F. A HOLDER OF REVENUE BONDS ISSUED UNDER THIS CHAPTER MAY NOT
47 COMPEL ANY EXERCISE OF THE TAXING POWER OF THE DISTRICT, A MUNICIPALITY,
48 THE COUNTY OR THIS STATE TO PAY THE BONDS OR THE INTEREST ON THE BONDS.
49 REVENUE BONDS ISSUED UNDER THIS CHAPTER ARE NOT A DEBT OF THE DISTRICT, A

1 MUNICIPALITY, THE COUNTY OR THIS STATE, NOR IS THE PAYMENT OF REVENUE
2 BONDS ENFORCEABLE OUT OF ANY MONIES OTHER THAN THE REVENUE PLEDGED TO THE
3 PAYMENT OF THE BONDS.

4 G. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
5 REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
6 YEARS.

7 48-7025. Terms of bonds

8 A. WITH RESPECT TO ANY BONDS, THE BOARD SHALL PRESCRIBE THE
9 DENOMINATIONS OF THE BONDS, THE SIZE OF EACH ISSUE AND THE FORM OF THE
10 BONDS AND SHALL ESTABLISH THE MATURITIES, INTEREST PAYMENT DATES AND
11 INTEREST RATES, WHETHER FIXED OR VARIABLE, NOT EXCEEDING THE MAXIMUM RATE
12 STATED IN THE NOTICE OF THE ELECTION OR THE RESOLUTION OF THE BOARD. THE
13 BONDS MAY BE SOLD BY COMPETITIVE BID OR NEGOTIATED SALE FOR PUBLIC OR
14 PRIVATE OFFERING AT, BELOW OR ABOVE PAR. IF THE BONDS ARE SOLD BELOW PAR,
15 THE AGGREGATE AMOUNT OF DISCOUNT AND INTEREST TO BE PAID ON THE BONDS
16 SHALL NOT EXCEED THE AMOUNT OF INTEREST THAT WOULD HAVE BEEN PAYABLE ON
17 THOSE BONDS PURSUANT TO THE MATURITY SCHEDULE PRESCRIBED BY THE BOARD AT
18 THE MAXIMUM RATE SET OUT IN THE BOND RESOLUTION.

19 B. IF GENERAL OBLIGATION BONDS OF THE DISTRICT ARE SOLD ABOVE PAR,
20 THE AMOUNT OF NET PREMIUM ASSOCIATED WITH A GENERAL OBLIGATION BOND ISSUE
21 MAY BE USED ONLY FOR THE FOLLOWING PURPOSES:

22 1. TO PAY ANY OR ALL COSTS INCURRED IN ISSUING THE GENERAL
23 OBLIGATION BONDS.

24 2. AS A DEPOSIT IN A DEBT SERVICE FUND AND USED ONLY TO PAY
25 INTEREST ON THE ISSUE OF GENERAL OBLIGATION BONDS.

26 C. IF USED FOR ANY PURPOSE OTHER THAN AS PRESCRIBED IN SUBSECTION B
27 OF THIS SECTION, AND IF THE DISTRICT HAS GENERAL OBLIGATION BOND VOTER
28 AUTHORIZATION AND AVAILABLE CAPACITY UNDER ITS DEBT LIMITATIONS PRESCRIBED
29 BY SECTION 48-7021, SUBSECTION A, THE AMOUNT OF NET PREMIUM USED FOR THAT
30 PURPOSE SHALL REDUCE IN AN EQUAL AMOUNT BOTH THE AVAILABLE AGGREGATE
31 INDEBTEDNESS CAPACITY OF THE DISTRICT PRESCRIBED IN SECTION 48-7021,
32 SUBSECTION A AND THE PRINCIPAL AMOUNT AUTHORIZED AT THE GENERAL OBLIGATION
33 BOND ELECTION FOR THE DISTRICT FROM WHICH THE ISSUE OF GENERAL OBLIGATION
34 BONDS IS BEING SOLD. ANY NET PREMIUM THAT IS USED AS PRESCRIBED IN THIS
35 SUBSECTION SHALL BE AMORTIZED FOR ALL DEBT LIMITATION PURPOSES ON A PRO
36 RATA BASIS EACH YEAR BY MULTIPLYING THE NET PREMIUM USED BY A PERCENTAGE
37 EQUAL TO THE PERCENTAGE OF THE TOTAL PRINCIPAL AMOUNT OF THE GENERAL
38 OBLIGATION BOND ISSUE THAT MATURES IN THAT YEAR.

39 D. THE PROCEEDS OF THE SALES SHALL BE DEPOSITED WITH THE TREASURER,
40 OR WITH A TRUSTEE OR AGENT DESIGNATED BY THE BOARD, TO THE CREDIT OF THE
41 DISTRICT TO BE WITHDRAWN FOR THE PURPOSES PROVIDED BY THIS CHAPTER.
42 PENDING THAT USE, THE PROCEEDS MAY BE INVESTED AS DETERMINED BY THE
43 DISTRICT. THE BONDS MAY CONTAIN TERMS, CONDITIONS, COVENANTS AND
44 AGREEMENTS AS THE BOARD DEEMS PROPER. THE BONDS MAY BE PAYABLE FROM ANY
45 COMBINATION OF AD VALOREM TAXES, REVENUES OR ASSESSMENTS OF THE TYPES
46 DESCRIBED IN THIS CHAPTER AND AS SPECIFIED IN THE BONDS IF ALL APPLICABLE
47 REQUIREMENTS ARE MET.

1 48-7026. O/M taxes; election; annual financial estimate and
2 budget; hearing

3 A. AT ANY TIME AFTER THE RECORDING OF A FORMATION ORDER, THE BOARD
4 MAY CALL AN ELECTION TO SUBMIT TO THE PERSONS WHO ARE ELIGIBLE TO VOTE IN
5 THE DISTRICT AS PRESCRIBED IN SECTION 48-7041 THE QUESTION OF AUTHORIZING
6 THE BOARD TO LEVY AN O/M TAX ON THE NET LIMITED ASSESSED PROPERTY
7 VALUATION OF PROPERTY IN THE DISTRICT AT A RATE OR RATES THAT DO NOT
8 EXCEED THE MAXIMUM RATE OR RATES SPECIFIED IN THE BALLOT. THE ~~[CONTINUED~~
9 ~~IMPOSITION OF THE TAX]~~ [MAXIMUM RATE SPECIFIED IN THE ORIGINAL BALLOT]
10 MUST BE APPROVED BY A MAJORITY OF THE PERSONS WHO ARE ELIGIBLE TO VOTE IN
11 THE DISTRICT AS PRESCRIBED IN SECTION 48-7041, VOTING IN A REGULAR OR
12 SPECIAL ELECTION AT LEAST EVERY SEVEN YEARS AFTER THE DATE OF THE INITIAL
13 IMPOSITION~~[. IF AN ELECTION IS NOT REQUIRED TO LEVY AN O/M TAX AT THE RATE~~
14 ~~DETERMINED BY THE BOARD TO BE NECESSARY TO MAINTAIN THE DISTRICT'S~~
15 ~~FACILITIES AND IMPROVEMENTS AND ENSURE REPAYMENT OF THE DISTRICT'S~~
16 ~~OUTSTANDING BONDS AND OBLIGATIONS]~~. ALL O/M TAXES SHALL BE USED FOR THE
17 OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT, INCLUDING LEGAL
18 EXPENSES AND EXPENSES THAT ARE ASSOCIATED WITH INSURANCE COVERAGE, AND
19 SHALL NOT EXCEED AN AMOUNT EQUAL TO \$.30 PER \$100 OF ASSESSED VALUATION
20 FOR ALL REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE BOARD BY SIMPLE
21 MAJORITY VOTE MAY REDUCE OR ELIMINATE ANY PORTION OF THE O/M TAX IMPOSED
22 BY THE DISTRICT [THAT THE BOARD DETERMINES IS NOT NECESSARY TO MAINTAIN
23 THE DISTRICT'S FACILITIES AND IMPROVEMENTS. IF NO BONDS OR OBLIGATIONS
24 REMAIN OUTSTANDING, A DISTRICT SHALL NOT LEVY AN O/M TAX IN ANY YEAR
25 FOLLOWING COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S
26 GENERAL PLAN].

27 B. THE DISTRICT MAY NOT LEVY AN O/M TAX AT A RATE OR RATES IN
28 EXCESS OF THE MAXIMUM RATE ~~[THEN]~~ [SPECIFIED] IN ~~[EFFECT]~~ [THE FORMATION
29 ORDER].

30 C. WHEN LEVYING AN O/M TAX, THE BOARD SHALL MAKE ANNUAL STATEMENTS
31 AND ESTIMATES OF THE OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT
32 AND THE AMOUNT OF ALL OTHER EXPENDITURES FOR PUBLIC INFRASTRUCTURE
33 PROPOSED TO BE PAID FROM THE O/M TAX LEVY OR LEVIES, ALL OF WHICH SHALL BE
34 PROVIDED FOR BY THE LEVY AND COLLECTION OF AD VALOREM TAXES ON THE
35 ASSESSED VALUE OF ALL THE REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE
36 BOARD SHALL FILE THE ANNUAL STATEMENTS AND ESTIMATES WITH THE CLERK. THE
37 BOARD SHALL PUBLISH A NOTICE OF THE FILING OF THE ESTIMATE, SHALL HOLD
38 HEARINGS ON THE PORTIONS OF THE ESTIMATE NOT RELATING TO DEBT SERVICE ON
39 BONDS AND SHALL ADOPT A BUDGET. THE BOARD, ON OR BEFORE THE DATE SET BY
40 LAW FOR CERTIFYING THE ANNUAL BUDGET OF THE COUNTY OR MUNICIPALITY, SHALL
41 FIX, LEVY AND ASSESS THE AMOUNTS TO BE RAISED BY O/M TAXES OF THE DISTRICT
42 AND SHALL CAUSE CERTIFIED COPIES OF THE ORDER TO BE DELIVERED TO THE BOARD
43 OF SUPERVISORS AND TO THE DEPARTMENT OF REVENUE. ALL STATUTES RELATING TO
44 THE LEVY AND COLLECTION OF GENERAL COUNTY TAXES, INCLUDING THE COLLECTION
45 OF DELINQUENT TAXES AND SALE OF PROPERTY FOR NONPAYMENT OF TAXES, APPLY TO
46 THE DISTRICT TAXES PROVIDED FOR BY THIS SECTION.

47 48-7027. Budget; hearing

48 ON OR BEFORE JULY 15 EACH YEAR, THE TREASURER SHALL PREPARE A
49 PROPOSED BUDGET FOR THE ENSUING FISCAL YEAR TO BE SUBMITTED TO THE BOARD

1 FOR APPROVAL. THE BOARD SHALL INDICATE ITS APPROVAL OF THE BUDGET BY
2 RESOLUTION, WHICH SHALL PROVIDE FOR A HEARING ON THE BUDGET AS APPROVED.
3 THE PARTICIPATING ENTITIES MAY REVIEW THE PROPOSED ANNUAL BUDGET AND MAY
4 SUBMIT WRITTEN COMMENTS TO THE BOARD FOR ITS ASSISTANCE AND INFORMATION IN
5 ADOPTING ITS ANNUAL BUDGET. AT THE CONCLUSION OF THE BUDGET HEARING, THE
6 BOARD, BY RESOLUTION, SHALL ADOPT THE BUDGET AS FINALLY APPROVED BY THE
7 BOARD. THE BUDGET SHALL BE ADOPTED BEFORE OCTOBER 1 EACH YEAR.

8 48-7028. Display of district taxes and assessments on
9 property tax bills

10 A. ANY AD VALOREM TAX THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
11 CHAPTER SHALL BE SHOWN ON EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM
12 THAT:

13 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
14 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

15 2. IDENTIFIES THE NAME OF THE DISTRICT.

16 B. ANY ASSESSMENT THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
17 CHAPTER AND THAT IS COLLECTED BY THE COUNTY TREASURER SHALL BE SHOWN ON
18 EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM THAT:

19 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
20 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

21 2. IDENTIFIES THE NAME OF THE DISTRICT.

22 ARTICLE 3. OPERATIONS

23 48-7041. Notice and conduct of elections; eligible voters

24 A. ANY ELECTION UNDER THIS ARTICLE SHALL BE A NONPARTISAN ELECTION
25 AND NOT A GENERAL ELECTION AND IS NOT SUBJECT TO THE REQUIREMENTS
26 APPLICABLE TO ELECTIONS FOR GENERAL GOVERNMENTAL BODIES, INCLUDING ONE-
27 PERSON-ONE-VOTE PRINCIPLES. AN ELECTION UNDER THIS ARTICLE SHALL BE
28 CALLED BY POSTING NOTICES IN THREE PUBLIC PLACES WITHIN THE BOUNDARIES OF
29 THE DISTRICT NOT LESS THAN TWENTY DAYS BEFORE THE ELECTION. ANY ELECTION
30 MAY BE CONDUCTED AS A MAIL BALLOT ELECTION IN THE MANNER PRESCRIBED IN
31 TITLE 16, CHAPTER 4, ARTICLE 8.1 AS NEARLY AS PRACTICABLE. IF THE
32 ELECTION NOTICE IS NOT MAILED TO THE PROPERTY OWNERS AND, IF APPLICABLE,
33 TO THE QUALIFIED ELECTORS, THE NOTICE SHALL ALSO BE PUBLISHED IN A
34 NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY, OR IF THERE IS NO
35 NEWSPAPER SO CIRCULATED IN THE MUNICIPALITY [OR IF THE DISTRICT IS LOCATED
36 IN AN UNINCORPORATED AREA], IN A NEWSPAPER OF GENERAL CIRCULATION IN THE
37 COUNTY IN WHICH THE DISTRICT IS LOCATED ONCE A WEEK FOR TWO CONSECUTIVE
38 WEEKS BEFORE THE ELECTION. THE NOTICE SHALL STATE:

39 1. THE PLACE OF HOLDING THE ELECTION.

40 2. THE HOURS DURING THE DAY, NOT LESS THAN SIX, IN WHICH THE POLLS
41 WILL BE OPEN.

42 3. IF IT IS A BOND ELECTION, THE AMOUNT OF BONDS TO BE AUTHORIZED
43 FOR THE DISTRICT, THE MAXIMUM RATE OF INTEREST TO BE BORNE ON THE BONDS,
44 THE MAXIMUM TERM OF THE BONDS, NOT EXCEEDING THIRTY YEARS, AND THE
45 PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED.

46 4. IF IT IS AN AD VALOREM TAX LEVY ELECTION PURSUANT TO SECTION
47 48-7022 OR 48-7023, THE MAXIMUM TAX RATE PER \$100 OF NET ASSESSED LIMITED
48 PROPERTY VALUATION TO BE IMPOSED, THE PURPOSES FOR WHICH THE MONIES RAISED
49 WILL BE USED AND THE EXISTING MAXIMUM AUTHORIZED TAX RATE.

1 5. IF IT IS AN ASSESSMENT LEVY ELECTION PURSUANT TO SECTION
2 48-7023, THE MAXIMUM ASSESSMENT RATE TO BE IMPOSED, THE PURPOSES FOR WHICH
3 THE MONIES RAISED WILL BE USED AND THE EXISTING MAXIMUM ASSESSMENT RATE,
4 IF ANY.

5 6. THAT A GENERAL PLAN IS ON FILE WITH THE CLERK.

6 B. THE BOARD SHALL DETERMINE THE DATE OF THE ELECTION AND, IF
7 APPLICABLE, THE POLLING PLACES FOR THE ELECTION AND MAY CONSOLIDATE
8 PRECINCTS. THE CLERK OF THE BOARD SHALL PREPARE A LIST OF ELIGIBLE VOTERS
9 IN THE ELECTION. A PROSPECTIVE LANDOWNER VOTER SHALL EXECUTE AN AFFIDAVIT
10 STATING THAT THE VOTER IS THE OWNER OF LAND IN THE DISTRICT AND IS
11 QUALIFIED TO VOTE PURSUANT TO THIS SECTION AND STATING THE PARCEL NUMBER
12 OWNED BY THE VOTER. ELECTION BOARD MEMBERS MAY ADMINISTER OATHS OR TAKE
13 ALL AFFIRMATIONS FOR THESE PURPOSES. AN ELECTION HELD PURSUANT TO THIS
14 ARTICLE IS NOT SUBJECT TO TITLE 16, CHAPTER 2, ARTICLE 3.

15 C. ONLY THE OWNERS OF REAL PROPERTY IN THE DISTRICT AND THEIR
16 DESIGNATED REPRESENTATIVES ARE ELIGIBLE TO VOTE IN AN ELECTION REGARDING
17 AN AD VALOREM TAX LEVY ELECTION, AN ASSESSMENT ELECTION, AN O/M TAX
18 ELECTION, AN ELECTION FOR THE BOARD OF DIRECTORS OF THE DISTRICT AND IN AN
19 ELECTION FOR DISSOLUTION. VOTING ELIGIBILITY IS BASED ON OWNERSHIP OF
20 REAL PROPERTY SUBJECT TO TAXATION OR ASSESSMENT BY THE DISTRICT.
21 CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE ELIGIBLE TO
22 VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR EACH
23 ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT ANY
24 FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH OF AN
25 ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE AS
26 REPRESENTED BY THE VOTES CAST AT AN ELECTION CONDUCTED SOLELY UNDER THE
27 ACREAGE SYSTEM SHALL DETERMINE THE RESULT. AN ACREAGE SYSTEM ELECTION
28 SHALL BE CONDUCTED PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTIONS
29 48-3042 THROUGH 48-3051 AS NEARLY AS PRACTICABLE. QUALIFIED ELECTORS ARE
30 ELIGIBLE TO VOTE IN AN ELECTION REGARDING GENERAL OBLIGATION BONDS.

31 D. EXCEPT AS OTHERWISE PROVIDED BY THIS ARTICLE, THE ELECTION SHALL
32 COMPLY WITH THE GENERAL ELECTION LAWS OF THIS STATE, EXCEPT THAT THE WORDS
33 TO APPEAR ON THE BALLOTS SHALL BE FOR A BOND ELECTION "BONDS, YES" AND
34 "BONDS, NO", FOR A TAX ELECTION IF NO TAX IS IN PLACE "TAX, YES" AND "TAX,
35 NO", FOR AN ASSESSMENT LEVY ELECTION "ASSESSMENT, YES" AND "ASSESSMENT,
36 NO" AND FOR A TAX ELECTION TO CHANGE AN EXISTING MAXIMUM OR ELIMINATE AN
37 EXISTING TAX "TAX CHANGE, YES" AND "TAX CHANGE, NO". THE RETURNS OF
38 ELECTION SHALL BE MADE TO THE BOARD.

39 E. WITHIN FOURTEEN DAYS AFTER AN ELECTION, THE BOARD SHALL MEET AND
40 CANVASS THE RETURNS. IF THE MAJORITY OF ACREAGE AS REPRESENTED BY THE
41 VOTES CAST AT THE ELECTION IS IN FAVOR OF IMPOSING THE TAX, THE BOARD
42 SHALL ENTER THAT FACT ON ITS MINUTES. THE CANVASS MAY BE CONTINUED FROM
43 TIME TO TIME. FAILURE OF A MAJORITY TO VOTE IN FAVOR OF THE MATTER
44 SUBMITTED DOES NOT PREJUDICE THE SUBMISSION OF THE SAME OR SIMILAR MATTERS
45 AT A LATER ELECTION. ANY CHALLENGE TO THE CONDUCT OR OUTCOME OF AN
46 ELECTION HELD PURSUANT TO THIS CHAPTER MUST BE COMMENCED WITHIN THIRTY
47 DAYS AFTER THE CANVASS OF THE ELECTION AND SHALL BE LIMITED TO WHETHER THE
48 DISTRICT COMPLIED WITH THE PROCEDURAL REQUIREMENTS OF THIS CHAPTER.

1 F. IF A PERSON LISTED ON THE ASSESSMENT ROLL IS NO LONGER THE OWNER
2 OF LAND IN THE DISTRICT AND THE NAME OF THE SUCCESSOR OWNER BECOMES KNOWN
3 AND IS VERIFIED BY RECORDED DEED OR OTHER SIMILAR EVIDENCE OF TRANSFER OF
4 OWNERSHIP, THE SUCCESSOR OWNER IS DEEMED TO BE THE OWNER FOR THE PURPOSES
5 OF THIS ARTICLE.

6 G. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF NO
7 PERSON HAS REGISTERED TO VOTE WITHIN THE DISTRICT WITHIN FIFTY DAYS
8 IMMEDIATELY PRECEDING ANY SCHEDULED ELECTION DATE, ANY ELECTION REQUIRED
9 TO BE HELD PURSUANT TO THIS ARTICLE SHALL BE HELD WITH THE VOTE BY THE
10 OWNERS OF LAND WITHIN THE DISTRICT WHO ARE QUALIFIED ELECTORS OF THIS
11 STATE AND OTHER LANDOWNERS ACCORDING TO SECTION 48-3043. EACH OWNER HAS
12 THE NUMBER OF VOTES OR PORTION OF VOTES EQUAL TO THE NUMBER OF ACRES OR
13 PORTION OF ACRES ROUNDED UPWARD TO THE NEAREST ONE-FIFTH OF AN ACRE OWNED
14 IN THE DISTRICT BY THAT PERSON.

15 H. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF THE
16 DISTRICT RECEIVES A CONSENT TO WAIVER SIGNED BY OWNERS OF ALL OF THE LAND
17 IN THE DISTRICT, THE DISTRICT MAY WAIVE ANY OR ALL REQUIREMENTS OF
18 POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND LANDOWNER ELECTION
19 OTHERWISE REQUIRED IN CONNECTION WITH ASSESSMENTS OR ASSESSMENT BONDS. ON
20 RECEIPT OF SUCH CONSENT TO WAIVER, THE DISTRICT MAY LEVY THE ASSESSMENT
21 AND ISSUE THE ASSESSMENT BONDS WITHOUT BEING REQUIRED TO COMPLY WITH THE
22 PROVISIONS OF THIS ARTICLE FOR POSTING, PUBLICATION, MAILING, NOTICE,
23 HEARING OR LANDOWNER ELECTION.

24 48-7042. Recording documents

25 THE DISTRICT SHALL FILE AND RECORD WITH THE COUNTY RECORDER THE
26 FORMATION ORDER, THE GENERAL PLAN OF THE DISTRICT, THE CANVASS OF ANY
27 GENERAL OBLIGATION BOND ELECTION AND ANY ASSESSMENTS LEVIED BY THE
28 DISTRICT. COPIES OF ALL SUCH INFORMATION SHALL BE PROVIDED TO THE STATE
29 REAL ESTATE DEPARTMENT.

30 48-7043. District website; required content; coordination
31 with seller disclosures

32 A. THE BOARD SHALL ESTABLISH AND MAINTAIN AN OFFICIAL WEBSITE THAT
33 IS ELECTRONICALLY SEARCHABLE BY THE PUBLIC AND THAT CONTAINS A
34 COMPREHENSIVE DATABASE OF DISTRICT CONTRACTS, PUBLIC NOTICES, MEETING
35 MINUTES, RESOLUTIONS AND ACCOUNTS SHOWING, ON AN AGGREGATE AND SUMMARY
36 BASIS, ALL MONIES RECEIVED AND DISBURSED, THE ANNUAL BUDGET AND OTHER
37 RECORDS REQUIRED TO BE MAINTAINED BY LAW. THE BOARD SHALL PROVIDE A LINK
38 TO THE DATABASE ON THE DISTRICT'S MAIN WEBSITE MAINTAINED BY THE BOARD AND
39 SHALL PROVIDE A LINK TO THAT DATABASE TO THE DEPARTMENT OF ADMINISTRATION.
40 THE DATABASE MAY NOT INCLUDE:

41 1. TAX PAYMENT OR REFUND DATA THAT INCLUDES CONFIDENTIAL TAXPAYER
42 INFORMATION.

43 2. WORK PRODUCT IN ANTICIPATION OF LITIGATION OR OTHER INFORMATION
44 THAT IS SUBJECT TO ATTORNEY-CLIENT PRIVILEGE.

45 3. ANY OTHER INFORMATION THAT IS DESIGNATED BY LAW AS CONFIDENTIAL.

46 B. THE DISTRICT SHALL KEEP THE WEBSITE CURRENT AND SHALL POST, IN
47 ADDITION TO THE INFORMATION DESCRIBED IN SUBSECTION A OF THIS SECTION, ALL
48 OF THE FOLLOWING INFORMATION:

- 1 1. THE DISTRICT'S LEGAL NAME, COMMON NAME, IF ANY, STATUTORY
2 AUTHORITY, FORMATION DATE AND THE BOUNDARIES OF THE DISTRICT, INCLUDING AT
3 LEAST ONE MAP IN A DOWNLOADABLE FORMAT.
- 4 2. A COPY OF THE FORMATION ORDER AND THE GENERAL PLAN.
- 5 3. A STATEMENT THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
6 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER, AND THAT
7 THE DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND
8 THE COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES,
9 ASSESSMENTS, FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE
10 DISTRICT AND ARE NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE
11 MUNICIPALITY OR THE COUNTY.
- 12 4. A PLAIN-LANGUAGE DESCRIPTION OF THE PURPOSE FOR WHICH THE
13 DISTRICT WAS FORMED AND THE PUBLIC ~~[IMPROVEMENTS OR SERVICES]~~
14 ~~[INFRASTRUCTURE]~~ THE DISTRICT IS AUTHORIZED TO FINANCE ~~[OR PROVIDE]~~ [.
15 IDENTIFYING WHICH CATEGORIES OF PUBLIC INFRASTRUCTURE ARE REQUIRED BY THE
16 APPLICABLE MUNICIPALITY OR COUNTY AND WHICH CATEGORIES ARE NOT REQUIRED
17 BUT HAVE BEEN ELECTED TO BE FINANCED BY THE DISTRICT].
- 18 5. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
19 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.
- 20 6. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
21 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.
- 22 7. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
23 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
24 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
25 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
26 SOURCES PLEDGED FOR REPAYMENT.
- 27 8. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
28 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
29 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.
- 30 9. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
31 BOARD, THE CLERK AND THE TREASURER.
- 32 10. NOTICES OF ALL REGULAR AND SPECIAL MEETINGS OF THE BOARD,
33 AGENDAS AND MINUTES, POSTED IN A TIMELY MANNER.
- 34 11. ANY ANNUAL REPORTS, AUDITS OR FINANCIAL REVIEWS REQUIRED TO BE
35 FILED WITH A COUNTY, THIS STATE OR ANY OTHER PUBLIC BODY AND ANY
36 ADDITIONAL REPORTS THE DISTRICT ELECTS TO PROVIDE FOR PUBLIC TRANSPARENCY.
- 37 C. THE DISTRICT SHALL ALSO MAKE AVAILABLE ON THE WEBSITE, IN A FORM
38 THAT CAN BE DOWNLOADED AND PROVIDED TO A PURCHASER, A STANDARDIZED
39 "DISTRICT DISCLOSURE NOTICE" THAT INCLUDES:
 - 40 1. A BRIEF DESCRIPTION OF THE DISTRICT AND ITS POWERS TO LEVY AD
41 VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES.
 - 42 2. THE MOST RECENT AD VALOREM TAX RATE OR ASSESSMENT RATE IMPOSED
43 BY THE DISTRICT AND A SAMPLE CALCULATION OF THE ESTIMATED ANNUAL AD
44 VALOREM TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE
45 SELECTED BY THE BOARD.
 - 46 3. A STATEMENT THAT ACTUAL AD VALOREM TAXES, ASSESSMENTS, FEES AND
47 CHARGES ON A PARTICULAR PROPERTY MAY DIFFER BASED ON CHANGES IN TAX RATES,
48 ASSESSED VALUE AND DISTRICT FINANCING DECISIONS.

1 [4. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT IS
2 AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
3 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
4 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
5 THE DISTRICT.]

6 ~~[4.]~~ [5.] A STATEMENT DIRECTING PROSPECTIVE PURCHASERS TO THE
7 DISTRICT WEBSITE FOR ADDITIONAL AND UPDATED INFORMATION.

8 D. A SELLER OF PROPERTY LOCATED IN THE DISTRICT WHO IS REQUIRED BY
9 LAW TO PROVIDE A DISTRICT DISCLOSURE TO A PURCHASER MAY SATISFY ANY
10 REQUIREMENT TO DESCRIBE THE DISTRICT'S PURPOSES, POWERS, TAX RATES OR
11 INDEBTEDNESS BY:

12 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
13 DISTRICT DISCLOSURE NOTICE DESCRIBED IN SUBSECTION C OF THIS SECTION.

14 2. IDENTIFYING IN WRITING THE DISTRICT'S WEBSITE ADDRESS ON OR
15 BEFORE THE DATE THE PURCHASER SIGNS A BINDING CONTRACT TO ACQUIRE THE
16 PROPERTY.

17 E. THE FAILURE OF THE DISTRICT TO TIMELY UPDATE ALL INFORMATION ON
18 THE WEBSITE DOES NOT RELIEVE A SELLER FROM ANY DUTY UNDER OTHER APPLICABLE
19 DISCLOSURE LAWS, BUT A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION
20 POSTED BY THE DISTRICT ON ITS WEBSITE AT THE TIME OF DISCLOSURE IS NOT
21 LIABLE FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
22 KNOWLEDGE OF THE INACCURACY.

23 48-7044. Annual report; bond report

24 A. NOT LATER THAN ONE HUNDRED EIGHTY DAYS AFTER THE END OF EACH
25 FISCAL YEAR, THE DISTRICT SHALL SUBMIT TO THE AUTHORITY AN ANNUAL REPORT
26 CONTAINING:

27 1. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
28 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

29 2. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
30 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

31 3. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
32 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
33 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
34 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
35 SOURCES PLEDGED FOR REPAYMENT.

36 4. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
37 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
38 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

39 5. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
40 BOARD, THE CLERK AND THE TREASURER.

41 6. A BRIEF DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT
42 HAS ACQUIRED OR CONSTRUCTED.

43 7. THE NUMBER OF RESIDENTIAL HOUSING UNITS CONSTRUCTED WITHIN THE
44 DISTRICT.

45 B. NOT LATER THAN THIRTY DAYS AFTER THE ISSUANCE OF ANY BONDS, THE
46 DISTRICT SHALL SUBMIT TO THE AUTHORITY A BOND ISSUANCE REPORT CONTAINING:

47 1. THE FINAL OFFERING DOCUMENT, IF ANY, PURSUANT TO WHICH THE BONDS
48 WERE SOLD.

49 2. A DEBT SERVICE SCHEDULE FOR THE BONDS.

1 3. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE FINANCED WITH THE
2 PROCEEDS OF THE BONDS.

3 4. IF THE BONDS ARE GENERAL OBLIGATION BONDS, A PROJECTION OF THE
4 AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT SERVICE ON THE BONDS,
5 WHICH PROJECTED RATE DOES NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

6 5. IF THE BONDS ARE ASSESSMENT BONDS, THE MAXIMUM AGGREGATE
7 ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT LEVIED IN CONNECTION WITH
8 THE BONDS.

9 6. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
10 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
11 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
12 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
13 SOURCES PLEDGED FOR REPAYMENT.

14 48-7045. Seller disclosure; form of notice

15 A. THIS SECTION APPLIES TO THE SALE OR OTHER CONVEYANCE OF ANY
16 RESIDENTIAL REAL PROPERTY THAT IS LOCATED WITHIN THE BOUNDARIES OF A
17 DISTRICT FORMED UNDER THIS CHAPTER AND THAT IS AUTHORIZED TO LEVY AN AD
18 VALOREM TAX, ASSESSMENT, FEE OR CHARGE THAT APPEARS AS A SEPARATE LINE
19 ITEM ON THE PROPERTY TAX BILL FOR THAT PROPERTY.

20 B. A SELLER OF RESIDENTIAL REAL PROPERTY TO WHICH THIS SECTION
21 APPLIES SHALL PROVIDE TO EACH PROSPECTIVE PURCHASER A WRITTEN "DISTRICT
22 DISCLOSURE NOTICE" THAT CONTAINS, AT A MINIMUM, THE INFORMATION DESCRIBED
23 IN SECTION 48-7043, SUBSECTION C AND THAT SUBSTANTIALLY COMPLIES WITH THE
24 FORM PRESCRIBED BY THE DISTRICT.

25 C. THE SELLER SHALL DELIVER THE DISTRICT DISCLOSURE NOTICE AS
26 FOLLOWS:

27 1. FOR A TRANSACTION IN WHICH THE PURCHASER SIGNS A WRITTEN OFFER,
28 THE SELLER SHALL DELIVER THE NOTICE TO THE PURCHASER ON OR BEFORE THE DATE
29 ON WHICH THE PURCHASER SIGNS A BINDING PURCHASE CONTRACT FOR THE PROPERTY.

30 2. FOR ANY OTHER TRANSACTION, THE SELLER SHALL DELIVER THE NOTICE
31 TO THE PURCHASER BEFORE THE PURCHASER BECOMES OBLIGATED UNDER ANY BINDING
32 AGREEMENT TO ACQUIRE THE PROPERTY.

33 D. A DISTRICT DISCLOSURE NOTICE SATISFIES THE SELLER'S OBLIGATION
34 UNDER THIS SECTION IF THE NOTICE:

35 1. IDENTIFIES THE DISTRICT BY LEGAL NAME AND COMMON NAME, IF ANY.

36 2. STATES THAT THE PROPERTY IS LOCATED WITHIN THE DISTRICT AND IS
37 SUBJECT TO THE DISTRICT'S TAXING AND ASSESSMENT AUTHORITY.

38 3. INCLUDES A BRIEF DESCRIPTION OF THE DISTRICT'S PURPOSES AND
39 POWERS, INCLUDING ITS AUTHORITY TO LEVY AD VALOREM TAXES, ASSESSMENTS,
40 FEES OR CHARGES [AND A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE
41 DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
42 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
43 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
44 THE DISTRICT].

45 4. STATES THE CURRENT AD VALOREM TAX RATE OR ASSESSMENT RATE
46 IMPOSED BY THE DISTRICT AND PROVIDES AN EXAMPLE OF THE ESTIMATED ANNUAL
47 TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE.

48 5. STATES THAT ACTUAL TAXES, ASSESSMENTS, FEES AND CHARGES ON THE
49 PROPERTY MAY CHANGE OVER TIME AND MAY DIFFER FROM THE EXAMPLE PROVIDED.

1 6. STATES THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
2 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER AND THAT THE
3 DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND THE
4 COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES, ASSESSMENTS,
5 FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE DISTRICT AND ARE
6 NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE MUNICIPALITY OR THE COUNTY.
7 7. PROVIDES THE INTERNET WEBSITE ADDRESS FOR THE DISTRICT AND
8 ADVISES THE PURCHASER THAT ADDITIONAL AND UPDATED INFORMATION REGARDING
9 THE DISTRICT'S FINANCES, MEETINGS AND OPERATIONS IS AVAILABLE ON THAT
10 WEBSITE.
11 E. A SELLER MAY SATISFY THE DISCLOSURE REQUIREMENTS OF THIS SECTION
12 BY:
13 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
14 DISTRICT DISCLOSURE NOTICE MADE AVAILABLE BY THE DISTRICT PURSUANT TO
15 SECTION 48-7043, SUBSECTION C.
16 2. IDENTIFYING THE DISTRICT'S WEBSITE ADDRESS IN THE PURCHASE
17 CONTRACT OR IN A SEPARATE WRITTEN DISCLOSURE DELIVERED WITH THE NOTICE.
18 F. A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION CONTAINED IN
19 THE STANDARDIZED DISTRICT DISCLOSURE NOTICE PROVIDED BY THE DISTRICT OR
20 POSTED ON THE DISTRICT'S WEBSITE AT THE TIME OF DISCLOSURE IS NOT LIABLE
21 FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
22 KNOWLEDGE OF THE INACCURACY.
23 G. A SELLER'S COMPLIANCE WITH THIS SECTION DOES NOT SATISFY OR
24 LIMIT ANY OBLIGATION OF A SUBDIVIDER OR OTHER SELLER TO OBTAIN AND DELIVER
25 A SUBDIVISION PUBLIC REPORT UNDER TITLE 32, CHAPTER 20, ARTICLE 4, AND
26 DOES NOT LIMIT ANY DISCLOSURE OBLIGATIONS IMPOSED BY SECTION 33-423 OR ANY
27 OTHER PROVISION OF LAW.
28 48-7046. Change in district boundaries or general plan
29 A. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE DELETED FROM THE
30 DISTRICT ONLY FOLLOWING A HEARING AFTER NOTICE TO THE OWNERS OF LAND IN
31 THE DISTRICT, ADOPTION OF A RESOLUTION OF INTENTION TO DO SO BY THE BOARD
32 AND APPROVAL BY THE OWNERS OF LAND IN THE DISTRICT PURSUANT TO SECTION
33 48-7041, SUBSECTION C. DELETED AREAS REMAIN SUBJECT TO THE LEVY FOR DEBT
34 SERVICE ON ANY BONDS ISSUED BEFORE THE DATE OF DELETION.
35 B. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE ADDED TO THE
36 DISTRICT ON APPROVAL BY THE BOARD FOLLOWING RECEIPT OF A PETITION FOR
37 ADDITION SIGNED BY THE OWNERS OF ALL OF THE REAL PROPERTY IN THE PROPOSED
38 ADDITION AREA. THE PETITION MUST INCLUDE A WAIVER OF ANY REQUIREMENT FOR
39 A SEPARATE RESOLUTION OF INTENTION BY THE BOARD AND A WAIVER OF ANY
40 REQUIREMENT OF POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND ELECTION
41 AS TO THAT ADDITION TO THE DISTRICT. THE ADDITION OF PROPERTY TO A
42 DISTRICT PURSUANT TO THIS SECTION DOES NOT CONSTITUTE THE FORMATION OF A
43 NEW DISTRICT AND DOES NOT REQUIRE COMPLIANCE WITH THE PROCEDURES
44 APPLICABLE TO INITIAL DISTRICT FORMATION OR TO AMENDING THE FORMATION
45 ORDER PURSUANT TO SECTION 48-7041, SUBSECTION K.
46 C. FOLLOWING A HEARING ON NOTICE TO OWNERS OF LAND IN THE DISTRICT
47 GIVEN IN THE MANNER PRESCRIBED FOR THE DELETION OF AN AREA FROM THE
48 DISTRICT, THE BOARD MAY AMEND THE GENERAL PLAN IN ANY MANNER THAT IT
49 DETERMINES WILL NOT SUBSTANTIALLY REDUCE THE BENEFITS TO BE RECEIVED BY

1 ANY LAND IN THE DISTRICT FROM THE PUBLIC INFRASTRUCTURE ON COMPLETION OF
2 THE WORK TO BE PERFORMED UNDER THE GENERAL PLAN.

3 D. THE AUTHORITY SHALL APPROVE THE ADDITION OR DELETION OF PROPERTY
4 UPON DETERMINING THAT THE REQUIREMENTS OF THIS SECTION HAVE BEEN SATISFIED
5 AND WILL AMEND THE FORMATION ORDER ACCORDINGLY.

6 48-7047. Other districts or improvements

7 A. THE FORMATION OF A DISTRICT UNDER THIS CHAPTER DOES NOT PREVENT
8 THE SUBSEQUENT ESTABLISHMENT OF SIMILAR DISTRICTS OR THE IMPROVEMENT OR
9 ASSESSMENT OF LAND IN THE DISTRICT BY THE MUNICIPALITY OR COUNTY PURSUANT
10 TO, CHAPTER 4, ARTICLE 2 OF THIS ~~[STATE]~~ [TITLE] OR THE EXERCISE BY THE
11 MUNICIPALITY OR COUNTY OF ANY OF ITS POWERS ON THE SAME BASIS AS ON ALL
12 OTHER LAND IN ITS CORPORATE BOUNDARIES.

13 B. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A DISTRICT MAY NOT
14 BE FORMED IF ANY PORTION OF THE LAND TO BE INCLUDED WITHIN THE DISTRICT IS
15 ALREADY INCLUDED WITHIN THE BOUNDARIES OF A COMMUNITY FACILITIES DISTRICT
16 OR REVITALIZATION DISTRICT IF THE COMMUNITY FACILITIES DISTRICT OR
17 REVITALIZATION DISTRICT HAS DEBT OUTSTANDING THAT IS SECURED BY AD VALOREM
18 TAXES OR ASSESSMENTS.

19 48-7048. Perpetual succession; dissolution of district

20 A. THE DISTRICT HAS PERPETUAL SUCCESSION, EXCEPT THAT THE DISTRICT
21 MAY BE DISSOLVED AS PROVIDED IN THIS SECTION AND, IF THE DISTRICT DOES NOT
22 HAVE ANY BONDS OR OTHER OBLIGATIONS OUTSTANDING, SHALL BE DISSOLVED TEN
23 YEARS AFTER THE DATE OF FORMATION UNLESS THE AUTHORITY BY RESOLUTION
24 EXTENDS THE DISTRICT BY AN ADDITIONAL PERIOD OF TEN YEARS.

25 B. THE BOARD SHALL ADOPT A RESOLUTION DISSOLVING THE DISTRICT IF
26 THE FOLLOWING CONDITIONS EXIST:

27 1. ~~[ALL OF] THE [DISTRICT NO LONGER OWNS ANY] REAL [AND] [OR]~~
28 ~~PERSONAL PROPERTY [OWNED BY THE DISTRICT HAS BEEN OR WILL BE CONVEYED TO A~~
29 ~~MUNICIPALITY OR A COUNTY].~~

30 2. THE AUTHORITY VERIFIES THAT THE DISTRICT HAS NO BONDS OR
31 OBLIGATIONS OUTSTANDING.

32 3. THE AUTHORITY APPROVES THE DISSOLUTION ORDER ON RECEIPT OF A
33 DISSOLUTION PETITION EXECUTED BY THE OWNERS OF A MAJORITY OF THE REAL
34 PROPERTY IN THE DISTRICT.

35 [C. A DISTRICT SHALL BE DISSOLVED AUTOMATICALLY AND WITHOUT ANY
36 ACTION FROM THE BOARD OR THE QUALIFIED ELECTORS IN THE YEAR THAT IS FIVE
37 YEARS AFTER COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S
38 GENERAL PLAN, AS LONG AS THE AUTHORITY HAS VERIFIED THAT NO BONDS OR
39 OBLIGATIONS REMAIN OUTSTANDING. IF ANY BONDS OR OBLIGATIONS REMAIN
40 OUTSTANDING AFTER THE YEAR, THE DISTRICT SHALL BE DISSOLVED IN THE YEAR
41 AFTER THE BONDS OR OBLIGATIONS ARE PAID IN FULL.]

42 ~~[C.]~~ [D.] ON SATISFACTION OF THE CONDITIONS PRESCRIBED BY
43 SUBSECTION B ~~[OR C]~~ OF THIS SECTION, THE AUTHORITY SHALL APPROVE THE
44 DISSOLUTION AND ISSUE A DISSOLUTION ORDER. THE BOARD SHALL CAUSE THE
45 DISSOLUTION ORDER TO BE RECORDED IN THE OFFICE OF THE COUNTY RECORDER ~~[AND~~
46 SHALL CAUSE A COPY OF THE DISSOLUTION ORDER TO BE DELIVERED TO THE COUNTY
47 ASSESSOR AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT
48 IS LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO
49 THE DEPARTMENT OF REVENUE].

1 ~~[D.]~~ [E.] ALL PROPERTY IN THE DISTRICT, EXCEPT FEDERAL, STATE,
2 COUNTY AND MUNICIPAL PROPERTY, REMAINS SUBJECT TO THE LIEN FOR THE PAYMENT
3 OF AD VALOREM TAXES LEVIED, AND ANY PROPERTY SUBJECT TO AN ASSESSMENT LIEN
4 REMAINS SUBJECT TO THE LIEN NOTWITHSTANDING DISSOLUTION OF THE DISTRICT.
5 THE DISTRICT MAY NOT BE DISSOLVED IF ANY GENERAL OBLIGATION BONDS, REVENUE
6 BONDS OR ASSESSMENT BONDS OF THE DISTRICT REMAIN OUTSTANDING UNLESS AN
7 AMOUNT OF MONEY SUFFICIENT, TOGETHER WITH INVESTMENT INCOME THEREON, TO
8 MAKE ALL PAYMENTS DUE ON THE BONDS EITHER AT MATURITY OR PRIOR REDEMPTION
9 HAS BEEN DEPOSITED WITH A TRUSTEE OR ESCROW AGENT AND PLEDGED TO THE
10 PAYMENT AND REDEMPTION OF THE BONDS. THE DISTRICT MAY CONTINUE TO OPERATE
11 AFTER DISSOLUTION ONLY AS NEEDED TO COLLECT MONIES AND MAKE PAYMENTS ON
12 ANY OUTSTANDING BONDS.

13 48-7049. Local involvement; preservation of municipal and county
14 authority

15 [A. A DISTRICT FORMED PURSUANT TO THIS ARTICLE HAS NO ZONING,
16 SUBDIVISION, BUILDING CODE, PERMITTING OR OTHER LAND USE OR DEVELOPMENT
17 APPROVAL AUTHORITY. ALL LAND USE REGULATION, DEVELOPMENT PLANNING,
18 PLATTING, PERMITTING, INSPECTION AND CODE ENFORCEMENT AUTHORITY WITHIN THE
19 BOUNDARIES OF A DISTRICT REMAINS EXCLUSIVELY WITH THE MUNICIPALITY OR
20 COUNTY IN WHICH THE LAND IS LOCATED, AND ALL DEVELOPMENT WITHIN A DISTRICT
21 IS SUBJECT TO THE SAME GENERAL PLANS, SPECIFIC OR AREA PLANS, ZONING
22 ORDINANCES, SUBDIVISION REGULATIONS, ENGINEERING STANDARDS, BUILDING AND
23 FIRE CODES AND OTHER APPLICABLE LAWS, STANDARDS AND PROCEDURES AS
24 COMPARABLE DEVELOPMENT OUTSIDE A DISTRICT.

25 B. A MUNICIPALITY OR COUNTY RETAINS FULL AUTHORITY TO ADOPT, AMEND,
26 ADMINISTER AND ENFORCE ITS GENERAL PLAN, SPECIFIC OR AREA PLANS, ZONING
27 ORDINANCES, SUBDIVISION AND DEVELOPMENT REGULATIONS, ENGINEERING AND
28 DESIGN STANDARDS, BUILDING AND FIRE CODES AND ANY OTHER LAWS, REGULATIONS
29 OR POLICIES GOVERNING THE PLANNING, ENTITLEMENT, CONSTRUCTION, INSPECTION,
30 ACCEPTANCE, OPERATION OR MAINTENANCE OF PUBLIC INFRASTRUCTURE OR PRIVATE
31 DEVELOPMENT WITHIN ITS JURISDICTION, WITHOUT REGARD TO WHETHER THE LAND IS
32 LOCATED WITHIN A DISTRICT.

33 C. A DISTRICT MAY FINANCE, CONSTRUCT OR ACQUIRE PUBLIC
34 INFRASTRUCTURE THAT IS INTENDED TO BE CONVEYED TO AND OWNED, OPERATED OR
35 MAINTAINED BY A MUNICIPALITY OR COUNTY ONLY IF THE PUBLIC INFRASTRUCTURE
36 IS DESIGNED AND CONSTRUCTED IN ACCORDANCE WITH THE GENERALLY APPLICABLE
37 PLANS, ORDINANCES, CODES, STANDARDS, REGULATIONS AND STANDARD-FORM
38 AGREEMENTS OF THE MUNICIPALITY OR COUNTY FOR COMPARABLE PUBLIC
39 INFRASTRUCTURE IN THE JURISDICTION. A MUNICIPALITY OR COUNTY MAY ACCEPT
40 OR REJECT ANY SUCH PUBLIC INFRASTRUCTURE IN ACCORDANCE WITH THE
41 MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE ORDINANCES, CODES,
42 STANDARDS, REGULATIONS, STANDARD-FORM SUBDIVISION OR IMPROVEMENT
43 AGREEMENTS OR OTHER WRITTEN INSTRUMENTS, INCLUDING ANY APPLICABLE
44 DEVELOPMENT AGREEMENT OR INTERGOVERNMENTAL AGREEMENT, AND IS NOT REQUIRED
45 TO ACCEPT PUBLIC INFRASTRUCTURE THAT THE MUNICIPALITY OR COUNTY IS NOT
46 OTHERWISE REQUIRED TO ACCEPT UNDER APPLICABLE LAW.

47 D. BEFORE A DISTRICT CONVEYS TO A MUNICIPALITY OR COUNTY ANY PUBLIC
48 INFRASTRUCTURE THAT IS FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT,
49 THE DISTRICT SHALL OBTAIN A CERTIFICATION FROM THE ENGINEER OR OTHER

1 OFFICIAL DESIGNATED BY THE MUNICIPALITY OR COUNTY STATING THAT THE PUBLIC
2 INFRASTRUCTURE HAS BEEN COMPLETED IN ACCORDANCE WITH THE APPLICABLE PLANS,
3 SPECIFICATIONS AND STANDARDS OF THE MUNICIPALITY OR COUNTY. THE TIMING,
4 FORM AND CONTENT OF THE CERTIFICATION AND OF ANY CONVEYANCE INSTRUMENTS
5 SHALL CONFORM TO THE MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE
6 REQUIREMENTS FOR COMPARABLE PUBLIC INFRASTRUCTURE. ACCEPTANCE OF A
7 DISCRETE SECTION OF PUBLIC INFRASTRUCTURE PURSUANT TO THIS SECTION DOES
8 NOT MODIFY THE ASSURANCES AND WARRANTY REQUIREMENTS OF A MUNICIPALITY OR
9 COUNTY PRESCRIBED BY A MUNICIPAL OR COUNTY CODE OR ORDINANCE OR AS
10 OUTLINED IN A DEVELOPMENT AGREEMENT ENTERED INTO PURSUANT TO SECTION 9-
11 500.05 OR 11-1101.

12 E. THE FORMATION OR EXISTENCE OF A DISTRICT DOES NOT CREATE ANY
13 OBLIGATION FOR A MUNICIPALITY OR COUNTY TO PROVIDE SERVICES, FACILITIES OR
14 FINANCIAL SUPPORT TO THE DISTRICT OR TO ANY LAND WITHIN THE DISTRICT THAT
15 THE MUNICIPALITY OR COUNTY WOULD NOT OTHERWISE BE REQUIRED TO PROVIDE IF
16 THE LAND WERE NOT LOCATED IN THE DISTRICT. A MUNICIPALITY OR COUNTY IS
17 NOT REQUIRED, SOLELY BECAUSE A DISTRICT HAS BEEN FORMED OR PUBLIC
18 INFRASTRUCTURE HAS BEEN FINANCED, CONSTRUCTED OR ACQUIRED BY A DISTRICT,
19 TO ACCEPT OWNERSHIP, OPERATION OR MAINTENANCE RESPONSIBILITY FOR ANY
20 PUBLIC INFRASTRUCTURE OR TO INCUR ANY ADDITIONAL FINANCIAL OBLIGATION OR
21 LIABILITY WITH RESPECT TO A DISTRICT OR ITS PUBLIC INFRASTRUCTURE, EXCEPT
22 TO THE EXTENT THAT THE MUNICIPALITY OR COUNTY EXPRESSLY AGREES IN A
23 DEVELOPMENT AGREEMENT, INTERGOVERNMENTAL AGREEMENT OR OTHER WRITTEN
24 INSTRUMENT THAT IS AUTHORIZED BY LAW.

25 F. THIS ARTICLE DOES NOT AUTHORIZE A DISTRICT TO PLEDGE THE FULL
26 FAITH AND CREDIT OR THE TAXING POWER OF A MUNICIPALITY OR COUNTY. ANY
27 BONDS OR OTHER OBLIGATIONS OF A DISTRICT ARE OBLIGATIONS ONLY OF THE
28 DISTRICT AND ARE PAYABLE ONLY FROM THE SOURCES THAT ARE PLEDGED FOR THEIR
29 PAYMENT.]

30 Sec. 6. Legislative findings; purpose

31 A. The legislature finds and declares that:

32 1. The provision of public infrastructure in advance of development
33 is essential to housing affordability, economic development and orderly
34 growth.

35 2. State housing affordability districts provide a uniform,
36 statewide mechanism for financing public infrastructure in a manner that:

37 (a) Protects taxpayers through limited tax rates and debt
38 limitations.

39 (b) Ensures transparency and public accountability.

40 (c) Facilitates early delivery of public infrastructure at lower
41 cost.

42 3. The Arizona finance authority is the appropriate statewide
43 certification authority to ensure uniform financial, engineering, and
44 statutory compliance for such districts.

45 4. The certification and oversight functions provided in this
46 chapter constitute governmental functions serving valid public purposes.

47 B. The legislature further finds and declares that:

1 1. State housing affordability districts exercise limited, special-
2 purpose governmental powers relating solely to the financing,
3 construction, operation and maintenance of public infrastructure.
4 2. The financial obligations of a district, including ad valorem
5 taxes, assessments, and liens, are borne directly and proportionally by
6 real property within the district.
7 3. Because the powers and financial burdens of a district
8 disproportionately affect real property owners, it is reasonable and
9 constitutionally permissible to allocate voting power in district
10 elections based on land ownership and acreage.
11 4. Elections conducted pursuant to this chapter are fiscal
12 determinations relating to property-based obligations and are not general
13 political elections.
14 Sec. 7. Short title
15 This act may be cited as the "State Housing Affordability District
16 Act".

17 Enroll and engross to conform
18 Amend title to conform

JEFF WENINGER

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